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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWEDEN

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1969

BASIC STATISTICS OF SWEDEN

THE LAND

Area (1 000 sq.km)	450
Lakes (1 000 sq.km)	39
Arable area (1 000 sq.km)	31
Woodland (1 000 sq. km)	228

Major cities, including suburbs (Dec. 1968):	
Stockholm	1 294 000
Gothenburg	647 000
Malmo	430 000

THE PEOPLE

Population (Dec. 1968)	7 950 000
No. of inhabitants per sq.km	18
Net natural increase (average 1963-1967)	42 600

Net natural increase per 1 000 inhabitants (average 1963-1967	5.5
Net natural immigration (average 1963-1967)	21 000

PRODUCTION

Gross Domestic Product in 1968 (millions of Kronor)	132 906
GDP per head, US $	3 238

Gross fixed capital formation (1968):	
Percentage of GDP	24
Per head, US $	762

THE GOVERNEMENT

Public consumption 1968 (percentage of GDP)	22
General government current revenue in 1967 (percentage of GDP)	46
Public gross fixed capital formation in 1967 (percentage of GDP)	4
Public debt at end 1967 (ratio to general government revenue in 1967)	73

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
Social democrats	79	125
Liberals	25	34
Conservatives	25	32
Centre	21	39
Communists	1	3
	151	233

Last general election: 1968.

Next general election: 1970.

LIVING STANDARDS

Calories per head, per day (1966-1967)	2 905
Average hourly earnings of male industrial workers in 1967 (in Kronor)	11.10
Number of passenger cars in use per 1 000 inhabitants (Dec. 1967)	250

Number of telephones per 1 000 inhabitants (Dec. 1968)	518
Number of radio sets per 1 000 inhabitants (Dec. 1968)	368
Number of TV sets per 1 000 inhabitants (Dec. 1968)	296

FOREIGN TRADE

Exports:	
Exports of goods and services as a percentage of GDP (average 1964-1968)	23
Main exports (percentage of total commodity exports, 1968):	
Forestry products	25
Machinery, apparatus and transport equipment	36
Iron and steel	9
Iron ore	4

Imports:	
Imports of goods and services as a percentage of GDP (average 1964-1968)	24
Main imports (percentage of total commodity imports, 1968):	
Machinery, apparatus and transport equipment	28
Raw materials (non-edible) and fuels	18
Metals and metal products	11
Food, beverages and tobacco	11

THE CURRENCY

Monetary unit: Krona.

Currency units per US $: 5.17

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SWEDEN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are : Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
by the Economic and Development Review Committee
in March 1969.

CONTENTS

Introduction **5**

I Recent trends **5**

Demand 5
Production and Employment 9
Wages, Prices and Incomes 12
Balance of Payments 15

II Economic Policy **19**

Fiscal Policy 19
Monetary Policy and Developments 21
Labour Market Policy 23
The Release of Investment Funds 27

III Prospects and Policy Issues **29**

Prospects 29
Policy Conclusions 31

TABLES

IN TEXT:

1	Supply and Use of Resources	6
2	Analysis of the Growth of GDP	7
3	Production by Sectors	10
4	Hourly Earnings and Wage Bill	12
5	Unit Labour Cost in Manufacturing	13
6	Household Incomes and Expenditure	14
7	The Balance of Payments	16
8	Merchandise Exports	17
9	Sweden's Export Performance	18
10	Central Government Finance	20
11	Monetary Indicators	22
12	The Credit Market	23
13	Special Allowances to Stimulate Mobility	25
14	Effects on Employment of Labour Market and other Measures	26
15	Prospects for GDP in 1969	30

STATISTICAL ANNEX:

A	Supply and Use of Resources, current prices	35
B	Supply and Use of Resources, 1959 prices	36
C	Gross Fixed Asset Formation, 1959 prices	37
D	Income and Expenditure of Households	38
E	Central Government Income and Expenditure	39
F	The National Pension Fund	40
G	Balance of Payments	41
H	Quarterly National Accounts	42
I	Labour Market	43
J	Production, Demand and Employment by Sector	44
K	Foreign Trade, Total and By Area	46
L	Imports: Volume, Prices and Commodity Groups	47
M	Exports: Volume, Prices and by Commodity Groups	48
N	Prices and Wages	49
O	Money and Credit	50

DIAGRAMS

1	Labour Market Indicators	11
2	Prices and Wages	15

INTRODUCTION

The Swedish authorities have in recent years pursued a cautious demand management policy with the view to improving the current external balance and achieve a better price and cost performance after the strong pressures on resources and costs which emerged in the economy during 1965. Total demand in the private sector has been considerably dampened while public expenditures have been raised strongly, especially for labour market purposes. The aim is to reallocate resources in a state of full employment, by increasing labour mobility, retraining workers and creating new jobs both within the public and private sector. The current external deficit has been brought down to a lower level compared to 1965 and, notably during 1968, the rise in production costs in industry has been halted. After some slowdown the growth rate of total output picked up in 1968 and it is expected to rise to 4 per cent in 1969, corresponding to the average growth potential of the economy. After a period of reallocation of the labour force and some reduction of production and investment in sectors where productivity probably has been low, the economy now seems to be in a better position to achieve a faster increase in exports and to provide higher private industrial investment.

I RECENT TRENDS

Demand

In 1968 the gross national product increased by 3.4 per cent in real terms; this expansion was considerably weaker than in the OECD area as a whole (5.25 per cent), and also slower than the rate of growth realised by European OECD countries combined (4.5 per cent).

The rate of increase in GNP was, however, by and large in line with the Swedish authorities' expectations set forth in the national budget, and well above that realised in 1967. The acceleration of the rate of growth from 1967 to 1968 can be traced to several demand components, and the

private sector, which had a deflationary influence on activity in 1967, contributed much to the growth of output. Thus, exports of goods and services expanded much faster than earlier, stimulated by the stronger trend in world trade. Inventory accumulation also was an important expansionary demand component, after having declined in the two previous years. Private consumption picked up strongly. However, public expenditure on goods and services remained the main source of expansion with a rise over 1967 of some 7.5 per cent. On the other hand, residential construction, already on a very high level in 1967, increased only moderately, and business fixed investment continued to fall, notably in trade. Due to the weakening of business investment, total fixed asset formation has been growing at a rate of only 2 per cent in the two recent years against 5.5 per cent earlier in the 1960's. Despite the slowing down of investment activity the annual gross increase in the capital stock of industry remained on a high level in the years 1966 to 1968, amounting to some 10 per cent more than in the period 1963 to 1965.

Table 1 **Supply and Use of Resources**

Percentage change from previous year, 1959 prices

	1965	1966	1967	1968
Gross domestic product	4.3	3.3	2.1	3.4
Import of goods and services	11.5	3.4	3.3	8.8
Export of goods and services	4.0	5.6	5.5	6.7
National expenditure	6.2	2.8	1.5	4.0
Change in stocks[1]	2.4	1.4	—	0.3
Domestic final demand	5.2	3.8	3.0	3.6
Private consumption	5.1	2.3	2.4	3.9
Private fixed asset formation[2]	5.8	9.5	—2.9	—3.7
Dwelling construction	5.9	—1.6	11.7	1.7
Public expenditure on goods and services	4.9	5.7	5.5	7.4

1 Per cent of GDP.
2 Excluding dwelling construction

Sources: Preliminary National Budget for 1969, Swedish national account statistics and the Ministry of Finance.

The breakdown of demand components in Table 2 is similar to that shown in last year's economic survey of Sweden. It is distinguished between autonomous demand components (exports, business fixed investment and stockbuilding) and policy determined demand components (public expenditure on goods and services and residential construction). The estimated impact on domestic activity of changes in these components given in Table 2, takes account of secondary ("multiplier") effects on private incomes and consumption.

Table 2 **Analysis of the Growth of GDP**
1959 prices

	1966	1967	1968
CHANGE FROM PREVIOUS YEAR, KR.MILLION			
Autonomous demand components:	1 200	—970	925
Exports of goods and net services	950	1 000	1 400
Business fixed investment[1]	1 080	—630	—825
Inventory accumulation	—830	—1 340	350
Policy Determined Demand Components:	1 110	2 125	2 250
Public expenditure on goods and services	1 200	1 230	1 750
Residential construction	—90	660	100
Release of investment funds[2]	—	275	375
CHANGE FROM PREVIOUS YEAR IN PER CENT OF GNP INCL. ESTIMATED MULTIPLIER EFFECTS[3]			
Autonomous Demand Components:	1.5	—0.7	1.1
Exports of goods and net services	1.2	1.3	1.7
Business fixed investment	1.1	—0.6	—0.9
Inventory accumulation	—0.8	—1.4	0.3
Policy Determined Demand Components:	1.4	2.9	2.7
Public expenditure on goods and services	1.5	1.7	2.2
Residential construction	—0.1	0.9	0.1
Release of investment funds	—	0.3	0.4
Residual[4]	0.3	—0.1	—0.4
Actual change in GDP	3.2	2.1	3.4

1 The actual decline in business fixed investment was about Kr.350 million in 1967 and Kr.450 in 1968. The figure indicated is an estimate of the decline which would have occurred in the absence of the release of investment funds.

2 Estimated impact on business fixed investment (see also note 1).

3 The initial change in demand components (indicated in the upper half of the table) as adjusted to take into account secondary multiplier effects on private consumption. The size of the multipliers—estimated on the basis of national accounts statistics—varies between 0.7 and 1.3 depending on the type of demand.

4 Actual change in GDP less the total estimated impact of autonomous and policy determined components. The residual may partly be ascribed to short-term irregularities in the propensity to consume and import.

Source : Estimates of the OECD Secretariat.

Autonomous demand components, taken together, which seem to have exerted a negative impact of the order of 0.7 per cent of GDP in 1967, may have contributed as much as 1.1 per cent of the growth of output in 1968, a positive swing between the two years of the magnitude of 1.5 to 2 per cent of GNP. The shift from inventory decumulation to accumulation had the most important expansionary influence, representing more than 1.5 per cent of GDP, by which the growth rate increased in 1968. The stockbuilding during 1968 may reflect a normal recovery following the declines of the two preceding years. Exports also rose considerably stronger than in the previous year with particularly sharp increases in shipments to the Common

Market, United Kingdom and the United States. The "autonomous" component of business investment, however, fell by about Kr.800 million in 1959 prices or by 6.5 per cent following a 5 per cent fall in 1967. This estimate represents the decline which would have taken place if there had been no release of investment reserves. It has been assumed, somewhat arbitrary, that the stimulative effect of the use of investment reserves was equal to the amount released from the Central Bank[1]. The weakening of business fixed investment demand as from 1967 was probably influenced by a decline in profits which started in 1965 and was particularly strong in 1966; moreover there has been some unused productive capacity in the two recent years. Profitability of industry seems to have improved in 1968, and there are also signs that capacity utilisation was higher than in 1967, notably in the engineering, iron and steel, and paper industry, although it remained considerably lower than during the years 1965 and 1966 when business investment rose strongly. Under these circumstances, neither easy credit conditions and improved liquidity in industry nor the release of investment funds have been sufficient to raise the level of business investment.

The stimulative impact on output of the policy-determined demand components was strong both in 1967 and 1968, amounting to 2.9 and 2.7 per cent of GDP respectively in the two years. The slight fall between the two years was due to a levelling out of activity in residential construction. As already mentioned, housebuilding was stepped up strongly in 1967, notably by easier credit conditions, and was moreover facilitated by favourable weather and easier labour market conditions. A moderate increase in building activity in 1968 therefore implied that residential construction was kept on a very high level. In fact, residential construction has been significantly larger in 1968 than originally planned by the authorities. Thus, the number of planned building starts was gradually increased during the year from 95 000 to 106 000 dwellings, of which 93 000 are financed partly by government credits. The increase has been made notably with a view to stimulate employment during the winter 1968/69. On the whole, the public sector made significantly larger contributions in 1968 than in 1967 to increase total demand. The 1968 central government budget provided for big increases in appropriations for labour market policy and for education and research. Central government investment was increased strongly, notably for military purposes. Besides the release of investment funds, several special measures were taken both in 1967 and 1968 to stimulate building

1 When an investment reserve is established, a part of the reserve which would otherwise have been paid in taxes (46 per cent) is frozen at the Central Bank. The other part (54 per cent) does not have to be kept in any special type of asset; it is left to the company to manage its liquidity position bearing in mind the possibility of a release. Thus, when reserves are released, the company must have at hand—or be able to raise—more than half of the amount it is required to invest.

activity and industrial production; financial limits for the buildings of schools, hospitals and pensioners homes were raised and the government placed orders with the engineering industry earlier than originally planned. It is, however, difficult to separate the effects of these special policy measure from the more automatic effects due to general increases in the budget, easier labour market conditions which made it possible to fill vacancies in the public sector, etc.

Seasonally adjusted figures suggest that business fixed investment changed little from the second half of 1967 to the first half of 1968 and then fell somewhat in the second half of this year. Merchandise exports (excluding ships) seem to have been growing fairly steadily during 1968 at a rate of between 8 and 9 per cent. In the first half of the year there was in particular a strong increase in exports of raw materials such as iron ore and wood products, partly stimulated by the strong growth of production in the EEC-Markets. In the latter part of 1968 exports of processed goods picked up, partly as a result of increased activity in the other Nordic countries. The main part of inventory accumulation took place in the second half of 1968. Thus, the stimulative impact resulting from the autonomous demand components seems to have been modest in the first part of the year and rather strong in the second, notably due to the effects from stockbuilding. The policy determined components had a more even impact over the year, but some slowdown in the growth rates of public investment and dwelling construction, and the timing of labour market measures and the release of investment funds, indicate that the effects were strongest in the first half year. A summary assessment suggests that the growth of total production was substantially higher in the second half of the year than in the first.

Private consumption increased by 3.9 per cent in 1968, about 1.5 percentage points more than in the year before and somewhat faster than the rise in disposable incomes. The consumption of non-durables increased by about 2 per cent largely in line with the development in 1967. The pattern of purchases of durables changed markedly. After having fallen by over 10 per cent in each of the two preceding years, sales of automobiles increased by 20 per cent, probably explaining why purchases of other durables increased by only 3.5 per cent, half the rise experienced in 1967.

Production and Employment

Table 3 shows that production in the goods-producing industries rose by 4 per cent in 1968, considerably faster than in 1967. This was mainly due to manufacturing industries where production rose by 6 per cent after the stagnation in the preceding year. Mainly owing to a sharp reduction in

stocks of ready-cut timber and weak demand from the pulp industry, production in forestry fell by 10 per cent. Output in agriculture increased by 3 per cent. Estimates of investments in building and construction indicate that the growth rate of production in this sector slowed down considerably from 4 per cent in 1967 to about 2 per cent in 1968. Output in the service sectors rose by some 3 per cent in 1968, reflecting in particular a continuation of the strong advance in the public sector.

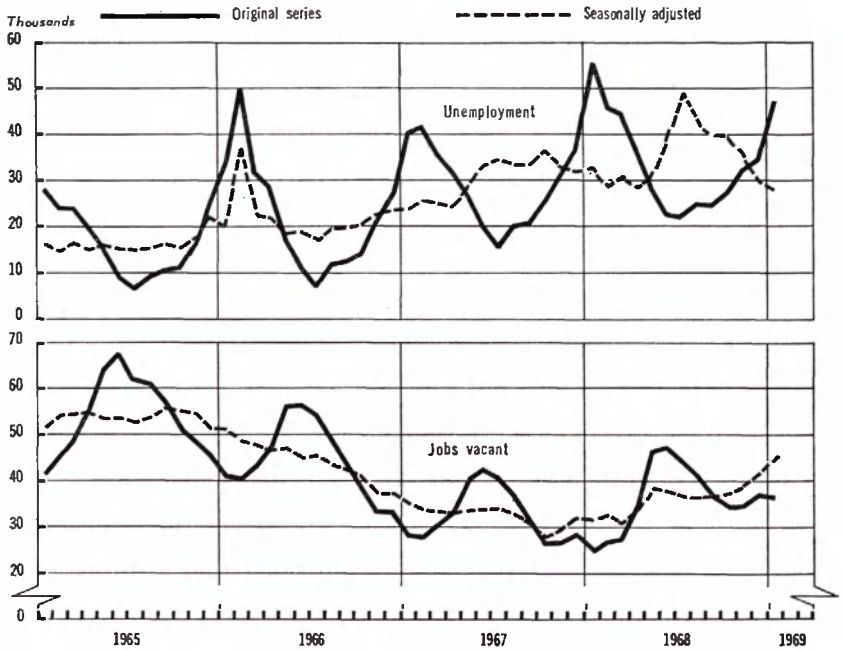
Table 3 **Production by Sectors**
Percentage change from previous year

	1965	1966	1967	1968
Goods producing sectors	6.0	3.2	1.8	4.0
of this:				
Agriculture	—2.9	—6.2	8.2	3.0
Forestry	—0.9	—1.6	4.6	—9.5
Mining and manufacturing	7.4	4.3	—0.2	6.0
Building and construction	6.2	2 4	4.0	2.0
Electricity, gas and water supply	6.9	6.2	9.6	5.5
Services	5.0	3.3	2.5	3.0
Total[1]	4.3	3.3	2.1	3.4

1 Including an undistributed residual.
Source : Swedish national accounts statistics and Preliminary National Budget for 1969.

After a fall on a year to year basis of about 1 per cent in 1967, total employment was unchanged or increased only slightly in 1968, while the number of hours worked may have fallen by about 1 per cent due to a cut in the working week for workers in industry and handicraft. The rise in output in the two years may, therefore, have been more than accounted for by higher productivity. The outflow of labour from agriculture continued; the number of employed in that sector fell by 8.5 per cent from 1967 to 1968 against 12.5 per cent between the two preceding years. In forestry employment declined by about 20 per cent, partly owing to the strongly reduced production. Employment in mining and manufacturing declined by some 3 per cent whereas the number of hours worked may have declined by 4 per cent due to the reduction of the working week from early in the year. With production in industry up by 6 per cent, there have been important gains in productivity. Employment continued to fall slightly also in building and construction, but the productivity increase in this sector seems to have been less than in the year before when it was particularly high, favoured by good weather conditions. Employment in the private service sectors changed little, while employment in the public service sectors for the second consecutive year rose strongly. During 1968, employment in public services increased by about 50 000 persons or 9 per cent. The easier labour market

Diagram 1 **Labour Market Indicators**



Source: Main Economic Indicators.

in the two recent years has made it possible to fill a large number of vacancies in all kinds of public services, notably in health services, education and in various kinds of social services. It is in particular the municipalities which have been able to improve their services.

In 1968 the net immigration to Sweden—concentrated in the second half of the year—amounted to about 10 000 persons, approximately the same number as in the year before. Including these persons, the active population (age groups 15-69 years) increased by 24 000 or by 0.4 per cent. With a somewhat lower participation rate the labour force is estimated to have increased by only 10 000 persons or about 0.25 per cent. Demand for labour —measured by the number of unfilled vacancies—reached a minimum in late 1967 and has since risen fairly steadily; as from April 1968 the number of unfilled vacancies was larger than in the corresponding months of 1967 with the strongest demand coming from the manufacturing industry. However, despite higher activity and government measures to stimulate the demand for labour, the unemployment ratio among insured workers rose to the average of 2 per cent in 1968, about 0.3 percentage points above that of a year earlier. On a seasonally adjusted basis unemployment was higher

during the spring and summer, but has been declining from August and was at the end of 1968 somewhat lower than a year ealier. However, no important improvement of the employment situation had taken place until the end of the year.

The rise in unemployment in recent years has been largely due to cyclical factors, but continued structural rationalisation in industry, with a movement of labour and capital towards high productivity sectors and bigger firms have also contributed. In 1968, 22 700 persons were affected by notices of lay-offs, compared with 24 500 in 1967 and 20 700 in 1966.

During the years 1966 to 1968 growth of output has been considerably lower than potential, calculated to about 4 per cent on average in the 1966-1970 period. Some slack in the economy has developed, therefore, notably during 1967 when GDP rose by only 2 per cent. As resources were very strained in 1965, economic policy was directed towards some easing both in 1966 and 1967 whereas in 1968 the advance in GDP was expected to slightly surpass the growth of capacity. Contrary to these expectations a margin of unused capacity remained in 1968; it may even have increased slightly, but probably does not amount to more than around 2 per cent of GDP.

Wages, Prices and Incomes

The development of wages in industry both in 1967 and 1968 was mainly affected by the three-year wage settlement for industrial workers concluded

Table 4 **Hourly Earnings and Wage Bill**
Percentage change from previous year

	1965	1966	1967	1968
MINING AND MANUFACTURING:				
Total hourly wage cost	11.1	9.1	9.6	6.5
of which due to:				
Negotiated increase in hourly earnings	3.9	4.5	4.1	3.1
Fringe benefits	1.8	0.4	1.5	0.4
Wagedrift	5.4	4.2	4.0	3.0
ALL SECTORS:				
Total wage bill	10 1/2[1]	10 1/2	7 1/3	6 1/2
of which due to:				
Negotiated increases	4 3/4	7 1/2	6 1/3	5
Wagedrift	4 1/2	7 1/2	2	2
Change in employment	2	1/2	—1	— 1/2

1 The total increase is not identical with the sum of the components, owing to the fact that employees paid by the week had one day less in 1965 than in 1964.

Source : Preliminary National Budget for 1969 and National Institute of Economic Research.

in the spring of 1966. According to its provisions there should be a reduction of the working week for industrial workers by 50 minutes from February in each of the years 1967 and 1968 and by a further 50 minutes from January 1969 (the total cut was from 45 to 42.5 hours). Hourly wage rates (including fringe benefits and compensation for the shortening of working hours) were to be raised by about 5 per cent in 1966 and 1967 and by 3.5 per cent in 1968. Moreover, the settlement included a clause providing for a guaranteed compensation if wagedrift should fall below 3 per cent a year. In building and construction the working week was cut by 75 minutes from July 1967 and 1968 respectively, while in forestry the shortening was made in one operation in January 1968. Similar percentage increases in hourly earnings as in the manufacturing industry—and in special cases even larger one—were agreed for other wage and salary earners including public servants.

The rise in total hourly wage cost in manufacturing slowed down significantly from a level of around 9-10 per cent in recent years to about 6.5 per cent in 1968. Both negotiated wage increases and wagedrift rose more moderately than earlier; the slowing down of the wagedrift may partly be attributed to the weakening of the demand for labour. With the strong increase in productivity, unit labour costs in manufacturing seem to have fallen by as much as 3 per cent in 1968, reflecting a better cost performance than in most other OECD countries. Also in earlier years in the 1960's, unit labour costs in manufacturing seem to have risen rather less in Sweden than

Table 5 **Unit Labour Cost in Manufacturing**
Percentage change from previous year

	Industrialised OECD Europe[1]	Sweden
1962	5.0	3.5
1963	2.7	1.5
1964	2.0	1.8
1965	4.5	3.2
1966	3.8	4.8
1967	1.3	2.9
1968[2]	—3.8	—3.0
1964-1968 Av.	1.6	1.9

1 Industrialised OECD countries weighed together according to their estimated importance for Swedisb foreign trade.
2 Preliminary estimates.

Source : OECD Secretariat and the Swedish Ministry of Finance.

NOTE Unit labour cost is defined as the total cost of wages, salaries and associated employer outlay per unit of output in the manufacturing sector. For the purpose of international comparison national data have been converted to dollars at current exchange rate. A devaluation consequently is registered as a reduction in unit labour cost in the present table. Due to considerable problems regarding the comparability and precision of the indicators utilised in unit labour cost calculations the estimates should be considered as rather approximative.

in other industrialised European OECD countries, if these are weighed according to their importance for Swedish foreign trade.

The cost development in 1968 may have improved the profitability of export industries, as export prices on average have remained virtually stable while the exported volume has increased at a good rate. Manufacturing industries producing mainly for the domestic market may have seen some improvement of profitability also, despite a slowing down of the rise in consumer prices. The recorded increase in the enterprises' saving, however, seems to have been moderate, implying larger needs for credit to finance stockbuilding during 1968. In the building and construction sector profitability may have weakened owing to the more modest increase both in productivity and in building prices.

The rise in personal factor income slowed down from 7.3 per cent in 1967 to 5.8 per cent in 1968. This reflected both the slowdown in the rise of total wage incomes from 7.5 per cent in 1967 to 6.5 per cent in 1968 and a fall in farmers' income from agriculture and forestry in 1968 of about 5 per cent. Net transfers from the private to the public sector rose by 5.3 per cent following a 9 per cent rise in the year before. Total private disposable income is estimated to have increased by 5.7 per cent (Table 6), about one percentage point less than in 1967. But as the rise in consumer prices has been modest, private real disposable incomes rose by about 3.5 per cent, considerably stronger than a year earlier. Private real consumption increased by close to 4 per cent, or about one half of one percentage point stronger than the growth of real income. This may partly be connected with the strong increase in the purchase of cars (20 per cent) and more generally with the easy credit market conditions.

Table 6 **Household Incomes and Expenditure**
Percentage change from previous year

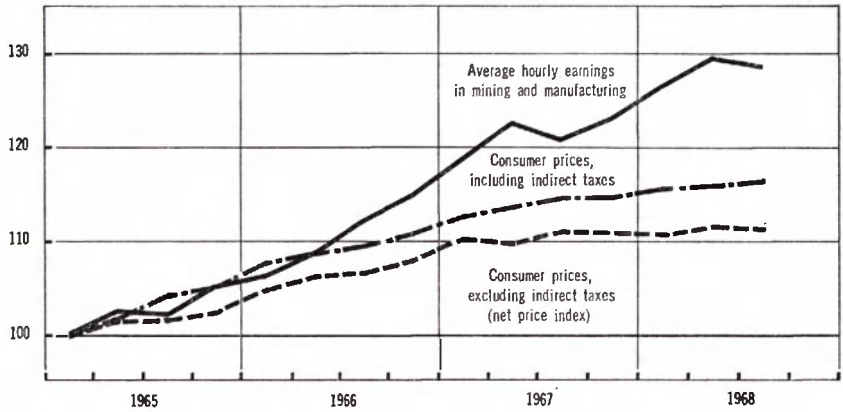
	1965	1966	1967	1968
Disposable incomes	7.9	7.9	6.9	5.7
Consumer prices	5.3[1]	5.6[1]	4.3	1.9
Real disposable incomes	2.5	2.2	2.5	3.7
Private real consumption	5.1	2.3	2.4	3.9

1 As adjusted by the Ministry of Finance.
Sources : Preliminary National Budget for 1969 and National Institute of Economic Research.

The rise in prices has slowed down significantly in recent years. During 1968 consumer prices rose by 2.0 per cent as compared with 3.1, 4.7 and over 6 per cent respectively in the three preceding years. The strongest price-rises in 1968 occurred for alcoholic beverages and tobacco, due to

increased taxation, and for housing. The net price index—which excludes the effects of changes in indirect taxation and public tariffs—rose by only 1 per cent during 1968, half the increase during the previous year. Since the middle of 1967 the net price index has been virtually stable.

Diagram 2 **Prices and wages**
Quarterly figures, 1965 Q1=100



Source: Monthly Digest of Swedish Statistics.

Balance of Payments

The current external account deteriorated significantly in 1968 following the marked improvement the year before; the deficit rose to almost the level experienced in 1965 and 1966. With merchandise imports rising somewhat faster than merchandise exports, the trade balance deteriorated by $40 million.[1] The invisible balance deteriorated by $69 million, confirming the trend of recent years. Net shipping earnings increased by about 4 per cent, favoured by high freight rates. But net expenditure on tourism abroad rose further, although at a slower rate than earlier, influenced by the weaker trend of personal income. Net expenditures on other services rose strongly and the balance of transfers has been deteriorating steadily as aid to developing countries has been increased. Including an estimated inflow of unrecorded current receipts of $160 million under the item "erros and omissions," the deficit on the current external account came to be $98 million in 1968 —a deterioration of $94 million from 1967.

Imports of goods increased by 9 per cent both in volume and value from 1967 to 1968. This was considerably more than what could have been

1 Without special corrections, the trade balance deteriorated by $11 million.

Table 7 **The Balance of Payments**
US $ million

	1965	1966	1967	1968
Trade balance	—407	—316	—174	—214[3]
Services, net	156	89	77	26
Transfers, net	—6	—25	—52	—70
Errors and omissions[1]	116	131	145	160
Current balance	—141	—121	—4	—98
Long-term capital	53	147	106	52
Trade credits, etc.	9	56	9	18
Errors and omissions	89	12	—146	0
Balance on non-monetary transactions	10	94	—35	—28
Change in official exchange reserves[2]	3	56	—194	—18
Change in commercial banks foreign position	7	38	159	—10

1 Official estimates of systematic errors in the statistics on current inflow and outflow.
2 Including gold and IMF-position, Swedish definitions.
3 An amount of $29 million, ascribed to changes in the reporting from customs offices, has been deducted from the figure indicated in export statistics for 1968.

Source: Preliminary National Budget for 1969 and Sveriges Riksbank.

expected on the basis of earlier experiences; in previous years a 1 per cent volume increase in GDP has on average been associated with an increase in imports of goods of 1.5 to 1.8 per cent. The relatively strong rise in imports may have been related to the change in the composition of the demand. In 1968, demand components with a relatively high import content (such as exports of highly processed goods, stockbuilding, investment in machinery, and private consumption) increased at high rates. With regard to imports of consumer goods, the increase in sales of automobiles and the resulting increase in imports of cars have been an important factor. An unusually strong increase in imports of crude oil to the new oil refineries—accompanied by an increase in exports of refined oil products—also inflated imports. Moreover, both structural changes in the domestic economy and the devaluations in certain foreign currencies may have contributed to higher imports. Estimates made by the National Institute of Economic Research for a sample of goods indicate that Denmark and Finland have increased their shares on the Swedish import markets, whereas the shares of Great Britain seem to have remained unchanged.

On average, import prices changed little from 1967 to 1968. Apart from oil, fuel and investment goods, most import prices tended downwards. In particular it seems as if prices on most processed goods from the devaluing countries—Denmark, Finland and Britain—have fallen relatively to prices on imports from other countries.

Total exports of goods increased by 8.5 per cent in value and 8 per cent in volume in 1968, considerably stronger than in the preceding year. Excluding deliveries of ships—which shows large variations from one year to another—exports of other goods increased by 9 per cent in volume in 1968, compared with 4.4 per cent in 1967. According to the figures in the preliminary national budget there was a particularly strong increase in shipments of iron ore (23.5 per cent), paper (14 per cent), non-ferrous metals (13 per cent), wooden products (11 per cent) and "other goods" (12 per cent). Exports of pulp continued to fall somewhat in value reflecting notably strong competition from North American producers. The improved trend in exports in 1968 can largely be ascribed to a strong increase in exports to the EEC area, North America and the United Kingdom. Partly owing to the moderate increase in investment and production in the Nordic countries, the growth of exports to this area weakened considerably. The Nordic countries take about one-fourth of Sweden's exports of engineering products and even more of the exports of chemicals and other highly processed goods. In 1968, however, exports of engineering products to these countries stagnated and exports of other processed goods rose by only 6 to 7 per cent compared with an annual growth of about 15 per cent in recent years.

Table 8 **Merchandise Exports**
Percentage change in value from previous year

	1965	1966	1967	1968[1]
Timber and wood products	6.4	—5.4	5.3	9.7
Pulp	—1.9	4.2	—2.7	—1.1
Paper and paper products	1.3	6.7	2.9	11.5
Ores	1.5	—6.9	—9.7	19.6
Iron and steel	10.3	10.9	13.9	7.3
Other metals	40.5	43.0	—10.1	23.9
Engineering products (excl. ships)	7.7	19.5	7.0	10.3
Foodstuffs	14.4	0.4	2.7	— 3.5
Other products	8.5	12.1	10.3	14.1
Total excl. ships	6.4	10.6	5.0	9.9
Ships	25.0	—33.2	31.1	—4.8
Total	7.5	7.4	6.1	9.1

1 Not corrected for changes in statistical reporting, cfr. note 3 to table 7.
Source: Swedish foreign trade statistics.

In the five-year period 1963 to 1968, Swedish exports on average increased almost one per cent less per year than total OECD exports. An analysis undertaken by the Swedish authorities for the years 1963 to 1967 shows that this is mainly due to losses of market shares. Table 9 shows that in the 1963 to 1967 period, Sweden's exports increased on average 0.8 per cent slower per year than total OECD exports; of this 0.7 per cent was owing

to losses of market shares whereas 0.1 per cent can be attributed to a slower growth of Swedish markets than of total OECD markets. Moreover, the Swedish analysis shows that losses of market shares are attributed to ships and raw materials, while the export performance for processed goods seem to have been better than the average. Also in 1968 the growth rate of Swedish merchandise exports (8.5 per cent) was considerably lower than that of OECD countries combined (13 per cent). Preliminary estimates (by the OECD Secretariat) suggest that this can partly be explained by a further loss of market shares in 1968, but also by the fact that Sweden's markets—notably in the Nordic countries—expanded considerably less than total OECD markets.

Table 9 **Sweden's Export Performance**
Exports from Sweden compared with Total OECD Exports
Percentage change from previous year

	1964	1965	1966	1967	Average 1964-67
PROCESSED GOODS:					
OECD	12.7	11.7	12.0	7.1	10.9
Sweden	17.1	8.1	16.5	7.4	12.2
RAW MATERIALS:					
OECD	16.4	4.2	2.9	6.5	7.4
Sweden	20.1	2.3	—1.4	—2.5	4.2
SHIPS:					
OECD	11.3	19.9	4.0	16.5	12.8
Sweden	—12.2	29.0	—33.4	30.7	—0.5
TOTAL EXPORTS:					
OECD	13.7	9.7	10.6	5.5	9.9
Sweden	14.7	8.3	7.5	6.0	9.1
Difference	1.0	—1.4	—3.1	0.5	—0.8
of which due to:					
Market gains or losses	0.8	—3.0	—0.3	—0.4	—0.7
Growth of Sweden's markets	0.2	1.6	—2.8	0.9	—0.1

Source: Ministry of Finance.

The registered net capital inflow fell from $115 million in 1967 to $70 million in 1968, with declines in the registered net inflows of both long-term capital and short-term trade credits. In 1968, the balance on non-monetary transactions showed a deficit of $28 million, approximately the same as in the preceding year. Official foreign exchange reserves (including the IMF position) fell by $18 million during the year to $800 million at the end of December. In the months up to the end of October the reserves increased by more than $100 million, but a strong outflow occurred in the

two last months of the year, in particular due to advance payments for imports from Germany.

II ECONOMIC POLICY

In 1968—as in the preceding year—the most important aims of economic policy were to improve the cost/price performance and to reduce the current external deficit while at the same time maintaining full employment. Efforts have therefore been made to avoid undue strong general pressures on resources. The maintenance of steady growth and satisfactory employment conditions, however, has required a very active demand management policy.

Fiscal Policy

The Central Government budget for the financial year 1968/69 presented at the beginning of 1968, aimed at restricting the growth of total current and investment expenditure to around 6.5 per cent from 1967 to 1968 following an 11 per cent increase in the preceding year. However, large increases in appropriations were voted for labour market measures (40 per cent) and education and research (11 per cent). To stimulate employment during the year, additional funds were provided for labour market measures, public building and advanced orders to industry. Total expenditure in the year 1968 is therefore likely to have increased by about 7.5 per cent.

Only minor changes were made in taxation in 1968. In February, indirect taxes on alcoholic beverages were increased, estimated to yield Kr.200 million in additional revenue in a full year. A 25 per cent tax on low priority investment in building (mainly building in certain private and public service sectors) was abolished as from 1st October, 1968. Total revenue in 1968 is estimated to have increased in line with total expenditure, or at a rate of about 7.5 per cent. Thus, net financial savings changed little from 1967 to 1968, amounting to a deficit of some Kr.600 million. As government lending totalled some Kr.2.8 billion—Kr.400 million more than in the year before—the overall budget deficit rose to almost Kr.3.4 billion.

The budget proposed for the financial year 1969/70 confirms the somewhat restrictive lines followed in the year before. Total current and investment expenditure is estimated to increase by close to 7 per cent from 1968 to 1969. As in the preceding years, relatively large increases in appropriations will be given for labour market policy and for education and research (about 15 per cent). Appropiations for aid to developing countries will be increased

Table 10 **Central Government Finance**
Kr. million

	1967	1968	1969
		Preliminary	Budget
CURRENT REVENUE:	31 872	34 270	37 630
Direct taxes	12 942	13 740	16 430
Indirect taxes	15 371	16 570	17 060
Other	3 559	3 960	4 140
CURRENT AND INVESTMENT EXPENDITURE	32 451	34 880	37 520
Transfer payments	18 557	19 540	21 090
Consumption	7 804	8 590	9 010
Gross fixed investment	6 090	6 570	7 150
FINANCIAL SAVINGS	—579	—610	380
Lending	—2 439	—2 830	—3 220
Other transactions	10	60	60
OVERALL BALANCE	—3 008	—3 380	—2 780

Source : Preliminary National Budget for 1969.

by 25 per cent (from Kr.500 million to Kr.630 million, approximately 0.4 per cent of GNP). It is intended that aid for developing countries shall be increased by 25 per cent each year until it reaches 1 per cent of GNP in 1974/75.

From 1st January, 1969, the general sales tax was replaced by a value added tax. The tax rate for consumer goods—10 per cent—has been maintained, and the tax base as far as consumer goods are concerned has been widened only slightly. But the value added tax, unlike the sales tax, will not apply to investment goods (formerly 6 per cent of investment costs). The tax relief for private and public enterprises as a result of the abolition of the investment tax is calculated to be about Kr.900 million for a full year. Of this, some Kr.150-200 million could be compensated by the extension of taxation of consumer goods. The remaining loss of revenue—Kr.700-750 million—will be covered by a special employers' fee of 1 per cent on all wages and salaries and on private entrepreneurial income. This change will lead to a redistribution of taxation between sectors, favouring the most capital-intensive branches such as the iron and steel and forest industries while, e.g. the services industries (including the public sector) and the building and construction sector will be adversely affected.

Despite the fact that the level of direct and indirect taxation by and large will remain unchanged, total revenue in 1969 is estimated to increase by close to 10 per cent, considerably stronger than total current and investment expenditure (7 per cent). This is for a large part explained by the

technical construction of the direct tax system which creates certain irregularities in the net payment of direct taxes from one year to another. As a result, the deficit of net financial savings of Kr.600 million in 1968 will be replaced by a surplus of about Kr.400 million in 1969, the swing representing 0.7 per cent of GNP. Government lending may again increase by about Kr.400 million, and the overall deficit should be reduced by Kr.600 million to Kr.2.8 billion. However the net financial savings and overall deficit are calculated under the assumption of an unchanged public wage level and no supplementary increase in other expenditure.

Monetary Policy and Developments

The easy monetary policy pursued in 1967 was by and large continued during 1968. To counter speculative outflows of funds the discount rate had been raised from 5 to 6 per cent in December 1967, but was promptly reduced to 5.5 per cent in February 1968 when more stable conditions in foreign exchange markets had been restored. The discount rate was lowered further to 5 per cent in October to stimulate business investment. On both occasions the banks' deposit and lending rates were lowered correspondingly.

The increase in bank liquidity in 1968 was modest compared to that of the preceding year. During 1968 the commercial banks increased their liquid assets by Kr.800 million against Kr.3.2 billion a year earlier. As in 1967 the budget deficit and the release of investment funds from the Central Bank were the most important factors behind the liquidity expansion. In fact, the impact on bank liquidity from these factors was even larger than in 1967, but this was offset to a larger extent than earlier by larger government long-term borrowing from non-banks.

The total net volume of funds raised by private and public borrowers in the organised credit and capital markets rose from Kr.17.4 billion in 1967 to Kr.19.5 billion in 1968, a rather slower increase than in the previous year. The Central Government increased its borrowing sufficiently to cover a larger budget deficit, whereas local authorities borrowed somewhat less than in 1967. The business sector increased its borrowing in 1968 even stronger than in the preceding year, despite the fact that total business investment including stockbuilding remained largely unchanged. The liquid reserves of industry and commerce rose significantly in 1967 (by about Kr.1 billion); as profits seem to have increased in 1968, the liquidity position of these sectors has probably improved further. Housebuilders remained the most important borrowing group, but their borrowing increased less fast than earlier, reflecting the slower rise in residential construction.

The supply of funds in 1968 was in particular influenced by the strong increase in the lending of public insurance institutions which represented

Table 11 **Monetary Indicators**
Change during year, Kr. million

	1965	1966	1967	1968
CENTRAL BANK				
Foreign assets, net	—338	171	—869	—339
Swedish bonds and treasury bills	414	943	277	1 189
Domestic advances	273	—331	1 211	—317
COMMERCIAL BANKS				
Foreign assets, net	41	162	858	—120
Cash and Central Bank sight deposits	41	38	53	87
Domestic securities	—395	1 212	2 313	909
Total advances	2 674	1 827	3 184	4 981
Total deposits received	1 082	2 572	4 714	6 218
MONEY SUPPLY[1]	710	1 220	1 300	2 300
OUTSTANDING BONDS	3 052	4 991	7 351	8 860
SHARES (ISSUES)[2]	865	857	1 335	750[2]

1 Currency outside banks plus demand deposits (IMF definition).
2 Excluding bonus issues. December 1968 estimated.
Sources : Monthly Digest of Swedish Statistics, International Financial Statistics and Central Bank.

almost 30 per cent of the total. About half the credit from this group was granted to residential construction. The main institution in this group—the National Pension Insurance Fund—increased its funds strongly during 1968 due to a once-and-for-all change of the payment pattern of insurance premiums. The commercial banks, responsible for more than a quarter of the total supply of new credit, also continued to expand their lending at a high rate. The banks' advances increased strongly, whereas their purchases of securities—notably bonds issued by housing mortgage institutions—were considerably smaller than in the preceding year. By expanding advances to the business sector from Kr.2 billion in 1967 to Kr.3.3 billion in 1968, the commercial banks covered the whole rise between the two years in business borrowing requirements, bringing their participation in total business borrowing in 1968 up to almost one half.

Activity in the capital market continued to rise significantly in 1968. Total volume of new bond issues amounted to Kr.11.6 billion against Kr.9 billion in 1967. The increase was more than accounted for by higher borrowing by the Central Government (1.7 billion) and by the housing mortgage institutions (1.2 billion). The issue of government bonds was to a large extent shifted from the short to the longer end of the market, apparently without causing disturbances for other borrowers. The local authorities and the business sector reduced their net borrowing in the bond market somewhat. The volume of share issues rose less than in the preceding year (by about Kr.750 million against Kr.1 335 million in 1967).

Table 12 **The Credit Market**
Net flows. Kr. million

Lending Sectors	Borrowing Sectors: Central Government	Local Authorities	Dwellings	Industry and Commerce	Total
1962 Total	—600	900	3 000	3 800	7 100
1963 »	200	950	3 800	3 550	8 500
1964 »	250	1 450	4 400	3 100	9 200
1965 »	—250	1 130	4 670	4 700	10 250
1966 »	1 250	1 350	5 500	4 600	12 700
1967: The Riksbank	331	20	142	160	653
Commercial Banks	1 325	179	2 390	2 038	5 932
Other Banks	290	834	1 903	798	3 825
Private Insurance Institutions	—30	96	682	668	1 416
Public Insurance Institutions	241	461	1 663	1 807	4 172
Other	851	54	50	403	1 358
Total	3 008	1 644	6 830	5 874	17 356
1968: The Riksbank	1 250	0	150	0	1 400
Commercial Banks	300	150	1 750	3 300	5 500
Other Banks	500	600	2 300	850	4 250
Private Insurance Institutions	150	100	800	600	1 650
Public Insurance Institutions	550	500	2 700	1 950	5 700
Other	650	100	—250	500	1 000
Total	3 400	1 450	7 450	7 200	19 500

Source : Sveriges Riksbank.

Effective bond yields rose by almost 1 percentage point following the increase in the discount rate in December 1967, but fell somewhat in the course of 1968, partly because of the reductions in the discount rate. At the end of the year effective yields on outstanding long-term bonds were on average about 0.6 percentage point lower than a year earlier. Issue rates fell by a 0.25 per cent when the discount rate was reduced by 0.5 per cent in February and October.

Labour Market Policy

In recent years, manpower policy has assumed increasing importance in Sweden. Labour market measures on a large scale have been implemented with a view to maintain an appropriate balance in the labour market. The need for a more active labour market policy has mostly been caused by rapid structural and technological changes in the Swedish economy, but it has been strongly reinforced by the weak trend in aggregate demand in the last three years. Relatively large differences in employment opportunities between geographical regions have also created problems. The slowdown of economic growth in recent years gave the authorities a good opportunity

to extend their efforts in this field in line with the demand management policy adopted. With demand pressures easing, selective methods—particularly in the field of labour market policy—were used to maintain a high level of employment. However, the attainment of an appropriate overall balance on the labour market is not regarded as the only aim of labour market policy; great importance is also attached to the task of assisting individuals to find the kind of work which gives them maximum economic and personal satisfaction.

During the last two or three years a broad range of labour market instruments have been used. The budget for 1968/69 saw an increase in appropriations for manpower and regional policies of about 40 per cent (from Kr.1 320 million to Kr.1 840 million). As additional appropriations have been given, however, expenses for manpower policy are expected to be considerably larger. Compared with the budget for 1968/69, labour market appropriations for the financial year 1969/70 will be increased by some 15 per cent to Kr. 2 100 million (1.4 per cent of GNP). The increase in appropriations has chiefly concerned four areas: measures to stimulate mobility between economic sectors and regions; relief works and increased job opportunities for handicapped persons; higher unemployment benefits for the individual, and extended support for regional development.

Among the measures to stimulate mobility, the most rapid expansion has been achieved in the field of retraining activities. The total number of persons participating in such activitites has gradually been increased from about 46 000 in the financial year 1965/66 to about 85 000 (more than 2 per cent of the labour force) in the financial year 1968/69. The duration of retraining courses is from 3 months to 2 years with an average of more than a half-year. The effect of labour market training has not yet been satisfactorily measured, but, according to sampel surveys, about 80 per cent of the trainees found a job in the occupation for which they had been trained relatively soon after they had completed the courses. The mobility of labour is also stimulated by various grants for unemployed persons unable to find a job near their place of residence. The grants available include travel allowances to seek and take up employment or for the removal of the family and its household goods; a starting allowance for expenses, during the initial period in the new employment, and a special compensation for persons who have to maintain two households. Moreover, an equipment allowance is available for families who move from areas with particularly high and persistent unemployment. Persons affected by seasonal unemployment can be granted a special family allowance intended to make it easier for them to take a temporary job in another area. The number of persons who, in recent years, have obtained allowances to stimulate labour mobility is given in Table 13.

Table 13 **Special Allowances to Stimulate Mobility**[1]

	Financial Year		
	1965/66	1966/67	1967/68
	Number of persons		
Travelling allowances	35 564	32 613	47 133
Removal allowances	3 030	3 002	4 441
Starting allowances	20 589	15 871	22 468
Family allowances	2 649	2 797	4 332
Equipment allowances	1 620	1 349	1 673
	Kr. million		
Total allowances	22.3	21.1	31.3

1 The same person may have been granted different kinds of allowances.
Source : National Labour Market Board.

An essential part of the increased emphasis on labour market policy is concerned with general relief works and special relief works for handicapped persons. Experience has shown that in times of rapid economic change and, in particular, when demand for labour slackens, special problems are created or reinforced for certain manpower categories, notably for persons with physical handicaps, older workers, unskilled labour, etc. In addition to the traditional types of relief works, considerable efforts have therefore been made to solve the employment problems for these categories, for instance by creating suitable jobs in sheltered and semi-sheltered workshops, in archeological work, in parks and sportsfields and in special building and construction projects. In the financial year 1967/68, the total costs of relief works amounted to about Kr.1 000 million, of which Kr.415 million were allocated to employment of handicapped persons. Central government contributions covered about 70 per cent of the total costs of relief works.

In regions with a poorly developed economy and structural problems, the measures of labour market policy are supplemented with regional development policy. A trial project affecting in particular the northern regions of the country was started in 1965 for the 5-year period up to 1970. Support for regional development will be given to privately owned firms and public enterprises within a framework of state appropriation of 1 000 million, of which Kr.250 million as direct contributions and Kr.750 million as loans.[1] From the beginning of 1963 to mid-1968, expenditure on fixed investment in plant and equipment related to regional development projects amounted to Kr.2.4 billion, of which about one-third was financed by government grants and loans. According to the firms' own estimates,

1 In the budget bill for 1967/70 Kr. 1.1 billion is proposed as a new limit for funds of which Kr. 900 billion to be used for loans.

about 25 000 persons (0.6 per cent of total labour force) in poorly developed regions have been secured employment in this period. In spite of this, unemployment in the affected areas has been considerably higher than elsewhere in the country, to a large extent reflecting the release of labour associated with the rapid rationalisation of the main industries in these regions—agriculture, forestry and pulp and paper industry.

Table 14 Effects on Employment of Labour Market and other Measures
Number of persons

	1967		1968		1969
	Feb.	Nov.	Feb.	Nov.	Feb.
Employment resulting from[1]:					
Retraining courses	25 000	27 600	33 800	34 700	39 000
Relief works[2]	15 800	13 400	24 500	19 200	22 500
Release of investment funds	—	7 000	12 000	7 000	6 500
Increased public investments	—	2 000	7 000	6 500	7 300
Advanced public orders to industry	—	—	2 000	1 400	1 000
Different forms for sheltered and demi-sheltered employment	10 000	12 000	15 000	16 000	20 000
Special relief works and education for young people	—	—	5 000	2 000	2 000
Total	50 800	62 000	99 300	86 800	98 300

1 Except for retraining courses and relief works the figures are estimates.
2 General relief works and relief works for handicapped.
Source : Swedish National Labour Market Board.

Other selective and stimulating measures are to a large extent co-ordinated with labour market policy. In order to obtain maximum effect on employment, such measures as release of investment funds, increased public building and increased dwelling construction, advanced public orders to the manufacturing industry, etc., are administered by the National Labour Market Board. Table 14 shows the effect on employment of labour market measures and other selective measures taken during 1967 and 1968. The Swedish authorities have estimated that these measures secured employment for some 100 000 persons early in 1968 (2.6 per cent of the total labour force) and that the cost of the projects which were effected during 1968 amounted to about Kr.5 billion or 3.5 per cent of GNP. The labour market measures in operation during the winter 1968/69 may be at least as comprehensive as a year earlier.

The Release of Investment Funds

The system of investment funds has formally existed as part of Swedish contracyclical policy since 1938, but has later on been altered and modified

in different ways, the main elements of the present legislation dating from 1955. The accumulation of funds was slow before that year, but accelerated strongly from 1955 onwards. The first release of funds to stimulate private investments was effected in 1958.

Under the present legislation, a firm is allowed to set aside to an investment fund annually a maximum of 40 per cent of profits before tax. Of this amount, 46 per cent has to be deposited in a blocked account with the Central Bank while the remainder will be at the free disposal of the firm. No tax is paid on profits set aside in this way. The immediate advantage to the firm is a minor gain of liquidity, as profits are presently taxed at a rate of 51 per cent. The main incentive, however, is that the funds blocked with the Central Bank later on—and still tax free—may be used for investment expenditures. In principle, the investment funds can be released in three different ways:

(*a*) After five years, 30 per cent of the funds set aside may be used freely by the firm for purposes specified in the law.

(*b*) The firms can be required to use their funds in a specified way, but this compulsory method has so far not been applied.

(*c*) By general release in recession periods, firms are granted permission to use their funds, provided that certain requirements from the labour market authorities are, or will, be fulfilled (until now there have only been general releases of funds, but the authorities have power to use the funds more discretionally).

Il the investment funds are used at a time when the authorities find this appropriate from the point of view of economic stability, the firm is moreover allowed to make an additional deduction from taxable profits of 10 per cent of the amount taken from the investment fund. However, the release of cash is intended to cover only 46 per cent of the actual investment costs (corresponding to the part of profits which has been blocked in the Central Bank). Thus, the company must have at hand— or be able to raise—54 per cent of the amount which it is required to invest.

Releases of investment funds according to point (*c*) above, have been made in three periods of weak demand; in 1958/59, in 1962/63 and in 1967/68. In the first period, following the release, private fixed investment increased rather fast in spite of recession tendencies in other demand factors. No empirical study is available of the extent to which this development was the result of investment funds policy rather than other measures, but it seems to be generally agreed that the release of funds was spread over so long a period that a substantial part of the investment expenditure generated by the release came in the beginning of the next boom.

The effects of the release of investment funds in 1962/63 have been studied empirically by the use of a questionnaire technique.[1] According to this enquiry, there was a net effect (compared to the hypothetical case without a fund release) on private gross industrial construction during the ten-month period July 1962-April 1963, amounting to more than 20 per cent of total annual industrial construction. During a five-month period there was also a net increase in orders placed for machinery and equipment of about 5 per cent of total annual industrial investment in machinery. These findings assume, therefore, that fixed investment in plant and equipment of about Kr.450 million, equal to some 55 per cent of investment partly or wholly financed by investment funds or equal to 3.5 per cent of total business fixed investment, would not have been undertaken if the release had not occurred. The findings of the study also indicate that the timing of the release was good; the net effect reached its maximum in the middle of the recession and had spent itself well before the next boom.

In the period 1967/68, investment funds were released in several steps, particularly with a view to stimulating investment and employment during the winter months:

(*a*) On 12th May, 1967, funds were released for investment in machinery ordered between 19th May-30th September, 1967, and delivered before 1st April, 1968; for investment in building started after 19th May, 1967, and undertaken before 1st April, 1968; and for investment in the forestry sector in the second half of 1967.

(*b*) On 26th October, 1967, the National Labour Market Board was authorised to give permission to the use of funds for investment in stocks if a favourable effect on employment could be expected during the winter.

(*c*) On 8th December, 1967, funds were released for investment in machinery ordered between 8th December, 1967 and 31st March, 1968, and delivered before 30th June, 1968.

(*d*) On 24th April 1968, funds were released for investment in machinery ordered between 1st May and 30th September and delivered before 31st March 1969; for investment in building and construction effected between 1st October, 1968 and 31st March, 1969, and for investments in forestry in the period 1st May, 1968-31st March, 1969. The blocked amounts released from the Central Bank was Kr.576 million in 1967 and Kr.530 million in 1968.

The Swedish authorities have estimated that the release of investment funds during 1967/68 contributed to the financing of investment projects

1 G. Eliasson: Investment Funds in Operation. Occasional Paper No. 2 from the National Institute of Economic Research, Stockholm 1965.

worth about Kr.2.6 billion (7.5 per cent of business fixed investment or 13 per cent of fixed investment in the manufacturing industry). It is likely, however, that a large part of this investment would have taken place even without the release. An examination of the net effects is presently being undertaken, but no results are, as yet, available. There are indications that the net effects have been somewhat smaller than during the 1962/63 period.

III PROSPECTS AND POLICY ISSUES

Prospects

1968 saw some strengthening of private demand, notably inventory accumulation and exports. The stronger trend should be maintained in 1969, possibly reinforced by some recovery of business investment. But public current and capital expenditures are likely to remain the main expansionary factors, probably accounting for the larger part of the growth of output in 1969. The authorities expect a rise in real GNP of around 4 per cent, somewhat faster than in 1968, and about in line with the long-term growth potential of the Swedish economy.

After a fall in business fixed investment in the two preceding years, the authorities expect an upturn in 1969, stimulated by better profit margins and liquidity positions in manufacturing industry, and supported by easy credit conditions in the banking system. However, the larger part of an estimated increase in business fixed investment of 4.0 per cent from last year is expected to take place in the trade and service sectors, in response to the abolishment on 1st October 1968 of the special investment tax on building and construction in these sectors. Surveys of investment plans in manufacturing indicate unchanged capital expenditure in 1969. The authorities have taken measures to encourage industrial fixed investment, and further steps in this direction may be adopted. Investment goods are exempted from the value added tax which was introduced as from 1st January, 1969; the former turnover tax on investment goods amounted to 6 per cent. The Government will also consider the introduction of more favourable depreciation allowances in the course of 1969, depending, however, on the conclusions of a forthcoming committee report on company taxation. Public fixed-asset formation (excluding military investment) is envisaged to increase at a somewhat higher rate than last year, particularly investment by local authorities. Residential construction is also expected to rise slightly faster than in 1968.

Table 15 Prospects for GDP in 1969

	1968 Kr. mill.	Percentage change in volume from previous year 1968	1969
Private investments[1]	17 560	—3.7	4.0
Investments in dwellings	9 580	1.7	3.0
Public expenditure	41 895	7.4	5.0
Private consumption	73 009	3.9	3.0
Change in stocks	366	0.3[2]	0.4[2]
Domestic demand	142 410	4.0	4.4
Export of goods and net services	25 526	6.4	5.5
Import of goods	26 496	9.0	6.5
Gross domestic product	141 440	3.4	4.0

1 Excluding investment in dwellings.
2 Per cent of GDP.
Source : Preliminary National Budget for 1969, and Ministry of Finance.

Public current expenditure should remain an expansionary factor also in 1969, although the growth rate envisaged, 6 per cent, is lower than the advance experienced in 1968 and 1967 (7.5 and 8 per cent respectively).

As most wage agreements fall due for renegotiation in the spring of 1969, prospects for consumer expenditure are particularly uncertain. Assuming that wages and salaries will move in about the same manner as last year, disposable income for households may rise at a slightly lower rate than last year (5 per cent against 5.7 per cent in 1968). The consumer price index is estimated to increase by 2 per cent, about the same as in 1968. Thus, if the personal savings ratio remains about unchanged, the rise in private consumption may slow down somewhat. On the above assumptions and assuming stronger stockbuilding, domestic demand may rise slightly faster than in 1968.

The authorities expect the rise in the volume of commodity exports (excl. ships) to slow down considerably, from 9 per cent in 1968 to 6.5 per cent in 1969 whereas the value rise in 1969 is estimated at about 8 per cent. This forecast is roughly in line with the growth in Sweden's export markets estimated by the OECD Secretariat. Nevertheless the Secretariat's estimates point to a further loss of market shares which is related to the slow rise in exports of raw materials.

Assuming that imports in 1968—after two years of slow increase—were boosted by some accumulation of stocks of industrial raw materials as growth of production accelerated, a more "normal" ratio of imports to GDP is envisaged for 1969.

Growth of total output in 1969, for the first time since 1965, is expected to reach the estimated growth potential of 4 per cent. The rise in industrial production is estimated to remain at about 6 per cent, while output in the service sectors should grow a little faster than last year. With unchanged growth of industrial output, there is likely to be a further fall in industrial employment; a decline of 1 per cent is expected by the Swedish authorities, considerably less than the 3 per cent fall experienced in 1968. 1969 may, therefore, see further important gains in productivity. If, as a result of the wage settlements in the spring, and allowing for a normal wagedrift, hourly wage costs in industry should rise to about the same pace as in 1968, unit labour costs in manufacturing might be stable or even fall slightly.

With the movements in merchandise trade assumed above, the trade deficit should fall in 1969, but the improvement of the merchandise account may not be large enough to cover the probable further increase in net expenditure on foreign travel and other services. The current external deficit may therefore rise again; the authorities expect a deficit of about $115 million. The financing of the deficit would seem unlikely to cause any major problems as there is a fairly regular capital inflow. But the probable deterioration of the current account runs counter to the authorities' aim of replacing the deficit by a surplus.

Policy Conclusions

A basic aim of Swedish policies in recent years has been, in conditions of full employment, to halt the increase in prices and costs and improve the balance of payments which showed a deficit on current account in 1965 of almost $150 million. To this end the authorities have adopted a cautious demand management policy, reflected in a rate of growth of output somewhat below potential in the years 1966/68. But the advance in activity has been relatively steady despite the recessionary tendencies emanating from abroad, notably in 1967. At the same time, large amounts spent on the education and retraining of the labour force, together with rapid structural change and a better allocation of fixed investment, have probably contributed to raising the future growth potential of the economy. There are, however, two features in the situation which may give rise to some concern.

First, business fixed capital formation continued to decline in 1968 for the second year in succession despite a significant strengthening of foreign demand and strong government measures to stimulate investment; and the Preliminary National Budget foresee almost unchanged industrial fixed investment expenditure for 1969. Although the investment level is still relatively high by international standards, the creation of new jobs in manufacturing industry may not take place on a scale large enough to absorb the

increasing number of workers who are being educated and retrained to new occupations. A relatively easy labour market and some unused production capacity, possibly equal to 2 per cent of output, might justify a somewhat stronger growth rate than that achieved in recent years. Stronger demand for labour and a better utilisation of plant and equipment may be the stimulation required to produce renewed growth of industrial fixed investment.

Second, the current account remained in deficit in 1968 although foreign demand was strong and the pressure of domestic demand relatively low. And the underlying tendency seems to be towards deterioration rather than improvement. The deficit is not big, and its financing should not cause serious problems. But a marked improvement will be required if the deficit is to be replaced by a surplus in line with the official policy objective. Given the strong tendency towards a deterioration of the services balance, mainly because of growing net travel expenditure abroad, and the steady growth of net transfer payments, the desired improvement of the current account may have to result mainly from a strengthening of the merchandise balance. The rapid structural change in Sweden's industry in recent years, with a reallocation of resources in favour of high productivity sectors, is a factor of strength. Moreover, the strong rise in labour costs of the preceding years was reversed in 1968. Although this movement was aided by a recovery-influenced rise in productivity, there was also a slowdown of the increase in wages and salaries. As it is likely that a major relative improvement in the competitive position will be needed to achieve the required strengthening of the trade balance, there may not be much scope for higher labour costs in the next few years, i.e. a rise in wages in line with the productivity advance may be a minimum requirement.

STATISTICAL ANNEX

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Table A **Supply and Use of Resources**
Kr. million, current prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure on goods and services	33 329	35 616	37 262	39 319	42 589	46 109	50 012	54 372	59 860	64 616	68 867	73 009
General government current expenditure on goods and services	9 522	10 126	10 827	11 502	12 442	14 255	15 910	17 572	19 921	23 049	25 886	29 242
Defence	2 559	2 686	2 822	2 974	3 017	3 626	3 798	4 064	4 377	4 928	4 734	..
Civil	6 963	7 440	8 005	8 528	9 425	10 629	12 112	13 508	15 544	18 121	21 152	..
Gross fixed asset formation	11 354	12 510	13 879	14 995	16 832	18 318	20 292	22 795	25 124	27 782	30 257	31 290
Change in stocks	1 213	165	—79	1 803	1 240	622	200	1 375	2 431	1 408	65	307
NATIONAL EXPENDITURE	55 418	58 417	61 889	67 619	73 103	79 304	86 414	96 114	107 336	116 855	125 075	133 848
Exports of goods and services (non-factor)	14 620	14 090	14 617	16 775	17 659	18 665	20 196	22 911	24 650	26 254	28 008	30 149
Imports of goods and services (non-factor)	14 700	14 377	14 588	17 225	17 328	18 529	20 166	22 871	25 910	27 404	28 532	31 091
GROSS DOMESTIC PRODUCT AT MARKET PRICES	55 338	58 130	61 918	67 169	73 434	79 440	86 444	96 154	106 076	115 705	124 551	132 906
Income payments from the rest of the world	235	240	240	244	270	317	305	428	443	501	496	463
Income payments to the rest of the world	83	90	100	96	124	123	121	169	243	290	338	358
GROSS NATIONAL PRODUCT AT MARKET PRICES	55 490	58 280	62 058	67 319	73 508	79 634	86 628	96 413	106 276	115 916	124 709	133 011
Indirect taxes	5 188	5 800	6 185	7 572	8 481	9 878	10 814	11 903	13 419	15 626	16 855	17 956
Subsidies	724	1 006	880	955	1 167	1 250	1 257	1 367	1 546	1 818	1 815	1 634
GROSS NATIONAL PRODUCT AT FACTOR COST	51 026	53 486	56 753	60 700	66 266	71 006	77 071	85 887	94 403	102 108	109 669	116 689

Source : Swedish submission to the OECD.

Table B **Supply and Use of Resources**
Kr. million, 1959 prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968
Consumers' expenditure on goods and services	35 014	35 941	37 262	37 945	40 147	41 601	43 747	46 239	48 592	49 713	50 918	52 899
General government current expenditure on goods and services	9 827	10 275	10 827	10 878	11 238	12 018	12 715	13 323	14 102	14 986	15 710	16 958
Defence	2 591	2 683	2 822	2 824	2 756	3 136	3 165	3 243	3 282	3 467	3 130	..
Civil	7 236	7 592	8 005	8 054	8 482	8 882	9 550	10 080	10 820	11 519	12 580	..
Gross fixed asset formation	11 460	12 538	13 879	14 103	15 300	15 977	17 139	18 386	19 299	20 514	21 583	21 689
Change in stocks	1 087	152	—79	1 734	1 177	564	164	1 261	2 195	1 312	18	253
National Expenditure	57 338	58 906	61 889	64 660	67 862	70 160	73 765	79 209	84 188	86 525	88 229	91 799
Exports of goods and services (non-factor)	13 774	13 810	14 617	16 404	17 058	18 235	19 389	21 369	22 239	23 478	24 730	26 368
Imports of goods and services (non-factor)	14 016	14 077	14 588	16 977	16 995	18 070	19 277	21 118	23 485	24 319	25 119	27 270
Gross Domestic Product at Market Prices	57 146	58 639	61 918	64 087	67 925	70 325	73 877	79 460	82 942	85 689	87 840	90 897

Source : Swedish submission to the OECD.

Table C **Gross Fixed Asset Formation**
Kr. million, 1959 prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968
GROSS FIXED ASSET FORMATION, TOTAL	11 460	12 538	13 879	14 103	15 300	15 977	17 139	18 386	19 299	20 514	21 583	21 689
PRODUCT CLASSIFICATION:												
Dwellings	2 912	3 145	3 389	3 305	3 561	3 844	4 099	4 675	4 919	4 821	4 942	5 011
Other building and construction	4 440	4 911	5 571	5 731	6 117	6 338	7 018	7 474	7 806	8 353	8 913	9 204
Transport equipment	1 510	1 507	1 647	1 883	1 699	1 822	1 814	2 016	1 929	2 316	2 342	2 114
Other equipment	2 598	2 975	3 272	3 184	3 923	3 973	4 208	4 221	4 645	5 024	5 116	5 355
INDUSTRIAL CLASSIFICATION:												
Agriculture, forestry and fishing	529	519	536	570	655	678	739	805	910	937	923	926
Mining and quarrying	142	164	166	121	114	156	210	231	177	149	170	172
Manufacturing	2 098	2 534	2 736	2 923	3 745	3 714	3 726	3 404	3 786	4 224	4 072	4 009
Construction	250	276	317	274	293	279	357	347	330	334	374	383
Electricity, gas and waterworks	1 247	1 423	1 538	1 552	1 634	1 546	1 589	1 809	1 797	1 946	2 151	2 059
Transportation and communication	2 740	2 817	3 269	3 429	3 231	3 405	3 606	3 933	3 954	4 387	4 399	4 335
Dwellings	2 912	3 145	3 389	3 305	3 561	3 844	4 099	4 675	4 919	4 821	5 447	5 517
Public administration	247	258	287	282	290	350	470	530	586	611	704	719
Other service industries	1 295	1 402	1 641	1 647	1 777	2 005	2 343	2 652	2 840	3 105	3 343	3 575
INSTITUTIONAL CLASSIFICATION												
Private enterprise	6 726	7 539	8 125	8 564	9 561	9 776	10 289	10 793	11 137	12 169	12 301	11 909
Public enterprise	2 876	3 058	3 465	3 570	3 781	4 069	4 211	4 624	5 000	4 937	5 420	5 418
General government	1 858	1 941	2 289	1 969	1 958	2 132	2 639	2 969	3 162	3 408	3 862	4 362

Source : Swedish submission to the OECD.

Table D **Income and Expenditure of Households and Private Non-Profit Institutions**

Kr. million, current prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968
Compensation of employees	31 394	32 888	34 353	38 146	42 146	47 183	52 000	57 821	64 100	71 258	77 397	83 310
Wages and salaries	30 251	31 662	33 077	36 503	40 251	44 646	48 686	53 959	59 729	66 324	71 277	..
Pay and allowances of armed forces	771	849	884	919	968	1 076	1 218	1 302	1 390	1 514	1 589	..
Employers' contributions to social security	372	377	392	724	927	1 461	2 096	2 560	2 981	3 420	4 531	..
Income from property and entrepreneurship	11 124	11 676	11 848	12 946	13 584	13 868	14 216	15 647	17 353	17 730	18 940	19 483
Income of independent traders	4 695	4 703	4 796	5 095	5 361	5 358	5 576	6 264	6 475	6 138	6 661	6 673
Interests, rents, dividends and corporate grants	6 429	6 973	7 052	7 851	8 223	8 510	8 640	9 383	10 878	11 592	12 279	12 810
Current transfers from government	4 154	4 730	4 953	5 520	6 026	6 788	7 963	9 038	10 636	12 125	14 231	16 154
Current transfers from the rest of the world	18	21	21	38	85	74	65	65	65	55	41	41
INCOME OF HOUSEHOLDS AND PRIVATE NON-PROFIT INSTITUTIONS	46 690	49 315	51 175	56 650	61 841	67 913	74 244	82 571	92 154	101 168	110 609	118 988
Direct taxes on households and private non-profit institutions	8 790	9 226	9 889	11 600	13 488	15 266	17 401	20 018	23 926	27 408	31 619	35 378
Total contributions to social security	1 400	1 460	1 888	2 531	2 806	3 667	4 694	5 481	6 161	7 071	8 758	10 825
Other direct taxes	7 390	7 766	8 001	9 069	10 682	11 599	12 707	14 537	17 765	20 337	22 861	24 553
DISPOSABLE INCOME	37 900	40 089	41 286	45 050	48 353	52 647	56 843	62 553	68 228	73 760	78 990	83 610
Current transfers to government	684	762	887	851	939	1 038	1 153	1 331	1 500	1 753	2 059	2 185
Current transfers to the rest of the world	42	24	18	21	24	24	27	62	65	90	24	13
Consumers' expenditure on goods and services	33 329	35 616	37 262	39 319	42 589	46 109	50 012	54 372	59 860	64 616	68 867	73 009
Saving of households and private non-profit institutions	3 845	3 687	3 119	4 859	4 801	5 476	5 651	6 788	6 803	7 301	8 040	8 403

Source: Swedish Memorandum to the OECD.

Table E **Central Government Income and Expenditure**[1]

Fiscal years beginning July

Kr. million

	1960/61	1961/62	1962/63	1963/64	1964/65	1965/66	1966/67	1967/68
Current revenue	15 414	16 732	18 509	19 505	22 790	26 440	28 753	30 214
Direct taxes	6 918	7 508	7 794	7 686	9 851	11 021	11 729	11 808
Indirect taxes	7 528	8 156	9 531	10 648	11 508	13 778	15 078	16 383
Other	968	1 068	1 184	1 171	1 432	1 641	1 946	2 023
Current expenditure	11 988	12 993	14 963	16 054	18 817	21 932	24 659	26 985
Purchases of goods and services	5 224	5 888	6 737	7 365	8 446	9 771	10 425	11 044
Defence	2 895	3 288	3 664	3 917	4 240	4 786	4 937	5 102
Civil	2 329	2 600	3 073	3 448	4 206	4 985	5 489	5 942
Subsidies	778	881	883	910	1 059	1 234	1 229	1 180
Interest	1 011	899	793	815	875	917	953	1 109
Current transfers	4 975	5 325	6 550	6 964	8 437	10 010	12 053	13 652
Net Current Savings	3 426	3 739	3 546	3 451	3 973	4 508	4 094	3 228
Depreciations and other operating provisions	871	874	1 089	1 034	1 312	1 221	1 306	1 315
Gross Savings	4 297	4 613	4 635	4 485	5 285	5 729	5 400	4 543
Gross fixed asset formation	2 281	2 319	2 558	2 847	3 079	3 135	3 543	3 770
Surplus on Current and Fixed Investment Account	2 016	2 294	2 077	1 638	2 206	2 594	1 857	773
Lending	1 156	1 233	1 234	1 005	1 360	1 933	2 318	2 362
Net capital transfers to other sectors	395	431	454	635	788	895	1 050	1 355
Surplus before Borrowing	465	630	389	—2	58	—234	—1 511	—2 944

1 According to OECD definitions.

Source: Swedish submission to the OECD.

Table F **The National Pension Fund**
Kr. million

	1960	1961	1962	1963	1964	1965	1966	1967	1968
Contribution paid	468	699	1 346	1 891	2 442	2 905	3 484	4 160	5 195
Pensions paid out	—	—	—	36	102	153	286	433	606
ASSETS BY KIND OF OBJECTS, NOMINAL VALUE END OF YEAR:									
Bonds	406	985	2 262	3 741	5 654	7 697	10 689	14 097	18 894
Debentures	15	23	140	264	401	587	731	1 018	1 027
Municipal loans excl. bonds	41	136	276	445	724	1 107	1 425	1 728	2 096
Other	18	61	170	314	573	1 132	1 868	2 530	3 216
Total	480	1 205	2 848	4 764	7 352	10 523	14 713	19 373	25 232
INVESTMENTS BY DIFFERENT GROUPS OF BORROWERS, CASH VALUES END OF YEAR:									
Government bonds	135	104	176	435	700	979	1 211	1 455	1 987
Housing credits	173	606	1 276	1 978	3 021	4 245	6 599	8 560	11 639
Agriculture	15	40	74	166	250	349	474	582	686
Municipal loans	61	154	342	665	1 140	1 673	1 964	2 427	2 898
Loans to Swedish enterprises	87	267	869	1 312	1 820	2 566	3 350	4 916	6 365
Other	—	19	83	208	350	631	1 019	1 338	1 558
Total	471	1 190	2 820	4 764	7 281	10 443	14 617	19 278	25 133

Source: Swedish submission to the OECD.

Table G **Balance of Payments**
$ million

	1961	1962	1963	1964	1965	1966	1967	1968[3]
Export f.o.b.	2 736	2 920	3 191	3 665	3 963	4 253	4 507	4 907[3]
Imports c.i.f.	2 894	3 088	3 352	3 811	4 328	4 536	4 651	5 069
TRADE BALANCE	—158	—168	—161	—146	—365	—283	—144	—162
Freight and insurance	411	447	487	527	550	566	621	632
Other transportation	—82	—102	—140	—190	—200	—214	—235	—222
Travel	—37	—52	—71	—80	—113	—143	—178	—199
Investment income	28	37	36	53	45	44	31	20
Government transactions	3	3		7	6	7	9	10
Other services	—76	—107	—119	—112	—128	—159	—175	—213
GOODS AND SERVICES	89	58	35	59	—205	—182	—71	—134
Private transfers	—1	—2	—1	—11	—12	—16	—19	—22
Central government transfers	—9	—18	—27	—34	—40	—53	—58	—70
CURRENT ACCOUNT	79	38	7	14	—257	—251	—148	—226
Private long-term capital	21	58	—89	80	40	132	78	64
Private short-term capital	—12	—5	3	5	12	47	24	18
Local government borrowing	—	—	—	1	—	—	—	—
Central government	4	—14	12	24	8	23	—6	—12
Errors and omissions	89	6	43	58	206	143	18	128
NON-MONETARY TRANSACTIONS	181	83	—24	182	9	94	—34	—28
Change in central bank's foreign assets	192	89	—45	200	2	56	—194	—18
Change in commercial bank's foreign assets[1]	—11	—6	21	—18	7	38	160	—10

1 Including time position.
2 Export figure as reported in the trade statistics. No adjustment has been made for changes in the recording principles.
3 Preliminary.

Source: Sveriges Riksbank.

Table H **Quarterly National Accounts**

Kr. million

	Household income						Private consumption		Gross fixed asset formation			External transactions				
	Wages salaries pensions	Other factor income	Transfers received	Taxes etc.	Disposable income				Total	Build. and constr.	Mach. and equip.	Export of goods	Import of goods	Export of services[1]	Import of services[1]	Balance on goods and services[1]
	current prices							1959 prices								
	orig.					adj.										
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1963	52 000	13 518	9 059	20 070	54 507	..	50 012	43 747	24 757	14 303	10 454	16 014	16 850	3 213	2 272	105
1964	57 821	14 896	10 127	22 962	59 882	..	54 372	46 239	26 257	15 428	10 829	17 854	18 554	3 381	2 401	280
1965	64 100	15 917	11 765	27 153	64 629	..	59 860	48 592	27 492	16 213	11 279	18 686	20 696	3 397	2 666	—1279
1966	71 242	16 179	13 292	30 995	69 718	..	64 616	49 713	29 062	16 827	12 235	19 830	21 220	3 482	2 945	—853
1967	77 397	17 248	15 393	35 528	74 510	..	68 867	50 918	29 668	17 777	11 891	20 884	21 751	3 711	3 221	—377
1968																
Quarterly																
1965 1	15 228	3 860	2 867	7 051	14 904	15 818	13 567	11 963	6 786	4 102	2 684	4 442	5 189			
2	16 096	3 960	2 773	7 452	15 377	15 977	15 447	12 716	6 996	4 125	2 871	4 594	5 031			
3	16 113	3 828	2 955	6 708	16 183	16 294	14 031	11 721	6 802	4 060	2 742	4 383	4 972			
4	16 663	4 269	3 170	5 942	18 160	16 540	16 815	12 192	6 908	3 926	2 982	5 266	5 497			
1966 1	16 143	3 882	3 301	8 046	15 280	16 216	14 726	12 190	6 886	3 931	2 955	4 553	5 483			
2	17 508	4 021	3 179	8 297	16 411	17 039	15 994	12 320	7 436	4 282	3 154	5 116	5 179			
3	18 946	3 942	3 321	7 796	18 413	18 512	15 768	12 623	7 293	4 264	3 029	4 624	4 919			
4	18 645	4 334	3 491	6 856	19 614	17 951	18 128	12 580	7 447	4 350	3 097	5 538	5 640			
1967 1	18 114	4 142	3 883	9 491	16 678	17 628	16 105	12 738	7 238	4 396	2 842	4 844	5 480			
2	19 912	4 324	3 615	9 850	18 001	18 646	17 195	12 722	7 380	4 421	2 959	5 669	5 325			
3	19 697	4 117	3 998	8 746	19 126	19 221	16 570	12 692	7 543	4 536	3 007	7 683	5 439			
4	19 644	4 605	3 897	7 441	20 705	19 015	18 997	12 766	7 507	4 421	3 083	5 688	5 705			
1968 1	19 361	4 234	4 379	10 364	17 610	18 573	17 032	13 109	7 542	4 504	3 038	..	..	..		
2	21 146	4 437	4 023	11 255	18 351	19 012	18 222	13 229	7 583	4 575	3 008	..	..	..		
3	21 315	4 293	4 429	9 747	20 290	20 381	17 658	13 314	7 579	4 532	3 047					
4																

1 National accounts under revision, new quarterly figures not yet available.

Sources: Central Bureau of Statistics and The Swedish Economy, National Institute of Economic Research.

Table I **Labour Market**

	Labour Force Survey[1]				Registered Unemployment[2]							Employment Measures[2]			Jobs Vacant[2]	
	Labour Force			Empl.-ment total	Total	*of which:* unemp. more than 1 month	Insured unemployed					Relief work	Other protected empl.	Re-training	Orig.	Adj.
							Orig.	Adj.	Per cent of insured							
	Total	Men	Women						Total	Manu-facturing	Build. and const.					
	1 000 persons								Orig.			1 000 persons			Thousands	
	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
1961	..	..	..	..	20.9	..	16.6	..	1.2	0.8	4.0	3.5	1.6	8.1	..	..
1962	3 746	2 393	1 353	3 690	23.2	..	18.6	..	1.3	0.8	4.3	5.6	1.8	10.1	37.3	..
1963	3 813	2 412	1 401	3 748	24.8	..	20.1	..	1.4	0.9	4.6	10.5	2.1	12.5	41.5	..
1964	3 779	2 395	1 384	3 719	21.2	..	17.0	..	1.1	0.7	3.3	9.6	2.4	13.7	47.1	..
1965	3 794	2 400	1 394	3 749	20.0	..	16.6	..	1.1	0.7	3.4	9.8	2.7	15.9	53.8	..
1966	3 840	2 404	1 437	3 780	26.7	..	22.2	..	1.4	1.0	4.9	9.2	3.1	18.8	44.6	..
1967	3 816	2 391	1 425	3 734	35.9	..	28.8	..	1.7	1.5	5.4	13.7	3.6	23.5	32.6	..
1968	3 868	2 399	1 469	3 781	40.1	..	33.4		2.0	1.8	5.4	20.3	4.9	29.6	36.3	..
Quarterly																
1965 1	3 734	2 360	1 374	3 688	29.2	..	25.4	16.1	1.6	0.8	6.1	13.4	2.7	16.9	45.1	53.6
2	3 776	2 379	1 396	3 732	17.8	..	14.8	15.6	1.0	0.6	2.7	9.8	2.7	15.9	62.3	54.0
3	3 853	2 457	1 396	3 807	12.0	..	8.7	15.5	0.5	0.5	1.1	7.1	2.7	13.0	59.5	54.0
4	3 814	2 404	1 411	3 768	20.9	..	17.6	18.6	1.1	0.8	3.7	9.0	2.8	18.0	48.2	53.6
1966 1	3 789	2 379	1 411	3 724	42.7	..	38.4	26.2	2.4	1.1	10.9	11.2	2.9	19.8	41.4	49.3
2	3 857	2 389	1 448	3 778	22.5	..	19.0	19.7	1.2	0.8	3.8	9.2	3.0	18.9	53.5	46.4
3	3 915	2 466	1 449	3 856	14.9	..	10.6	18.8	0.7	0.7	1.1	7.0	3.1	15.6	48.7	43.9
4	3 821	2 383	1 438	3 761	26.6	..	20.7	22.1	1.3	1.2	3.6	9.4	3.2	21.0	34.9	38.8
1967 1	3 797	2 377	1 420	3 700	46.7	..	39.5	25.0	2.4	1.6	9.4	15.9	3.4	24.5	28.6	34.2
2	3 806	2 384	1 422	3 737	32.3	18.9	26.2	28.8	1.6	1.4	4.9	14.3	3.5	23.6	38.8	33.6
3	3 867	2 436	1 431	3 781	25.4	13.0	18.7	33.7	1.1	1.3	2.4	10.5	3.6	19.0	36.0	32.3
4	3 793	2 368	1 425	3 716	39.1	20.2	30.8	33.8	1.8	1.7	4.9	14.1	3.9	27.1	26.9	29.9
1968 1	3 813	2 373	1 439	3 709	56.6	33.7	48.5	30.6	2.9	2.1	10.6	23.7	4.3	33.0	26.5	31.6
2	3 856	2 395	1 461	3 780	35.2	22.1	29.4	32.3	1.7	1.6	4.4	22.6	4.8	30.7	42.6	36.8
3	3 947	2 450	1 497	3 858	30.5	17.9	23.9	43.5	1.4	1.7	2.2	15.3	5.0	21.2	40.6	36.5
4	3 857	2 378	1 479	3 780	38.2	23.0	31.6	35.0	1.9	1.8	4.3	19.6	5.6	33.5	35.4	39.4

NOTES 1 February, May, August and September. The employment concept covers all gainfully employed, independently of the number of hours worked.
2 Averages of mid-month observations.

Sources : Labour Market Statistics, Monthly Digest of Statistics and OECD, Main Economic Indicators.

Table J Production, Demand and Employment by Sector

Mining and manufacturing (cont. on page 45)

	Production, 1963 = 100, seasonally adjusted									Employment		Orders				
			Manufacturing									Shipyards		Other engineering		
	Mining and manuf., Total	Mining and quarrying	Total	Food beverages and tobacco	Textiles clothing and footwear	Chemicals etc.	Basic metals	Metal products	Forest products	Shipyards	Other engineering	New orders	Order stock end of period	New orders	Order stock End of period: Total	Order stock End of period: of which For export
									25-26 part of 27	mill. hours per normal week						
	ISIC	11-19	20-39	20-22	23-24	31-32	34	35-38				Sept.-Nov. 1954 = 100				per cent
	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48
1961	89	98	89	93	92	84	90	87	92	0.96	8.83	58	80	106	125	31
1962	94	97	94	98	95	92	94	96	92	0.95	8.91	40	74	99	109	33
1963	100	100	100	100	100	100	100	100	100	0.88	8.58	110	80	103	111	34
1964	110	111	110	105	103	115	115	109	112	0.84	8.17	61	79	116	120	32
1965	119	118	119	107	101	128	126	121	119	0.79	8.15	79	68	117	130	31
1966	124	119	124	113	97	142	126	130	118	0.76	7.92	56	65	111	126	31
1967	127	122	126	117	101	160	126	131	121	0.74	7.31	73	59	106	112	36
1968																
Quarterly																
1965 1	118	121	117	107	103	124	125	119	118	0.86	8.77	60	66	115	127	32
2	118	114	118	107	104	129	126	118	119	0.85	8.67	99	69	116	128	32
3	121	114	119	107	100	128	130	122	120	0.62	6.34	61	68	107	132	32
4	121	121	121	106	100	132	126	126	120	0.84	8.77	94	70	130	133	30
1966 1	123	114	124	111	99	132	132	130	116	0.81	8.71	74	72	108	128	30
2	123	116	122	113	94	135	129	129	117	0.82	8.54	43	68	116	126	30
3	123	118	121	113	94	139	127	127	113	0.59	6.05	8	59	107	129	32
4	125	102	126	111	95	140	131	133	123	0.80	8.37	98	60	111	118	33
1967 1	125	110	126	115	101	146	126	131	120	0.80	8.12	25	54	103	115	35
2	127	127	126	117	104	149	127	130	122	0.79	7.86	69	55	112	112	36
3	128	122	126	118	103	148	125	129	121	0.58	5.61	163	66	95	113	37
4	130	132	130	118	99	161	129	135	119	0.77	7.65	35	60	112	107	37
1968 1	129	136	129	118	100	162	130	130	126	0.75	7.46	20	54	141	124	33
2	132	135	131	122	99	171	133	133	130	0.75	7.38	77	56	119	126	34
3	134	129	135	118	102	179	147	145	129	0.55	5.72	73	61	101	130	35
4										0.75	7.76					

Source: Monthly Digest of Statistics, OECD, Industrial Production and OECD Secretariat.

Table J Production, Demand and Employment *(continued)*

	Mining and manufacturing *(continued)*							Elec., gas water works	Building and construction				Retail Trade			
	Change in stocks		Fixed asset formation						Total		Dwellings		Retail trade			Passenger car registrations
					New investments									of which:		
	Total	of which finished goods	Total	Maint. and repair	Total	Build. and constr.	Mach. and equip.	Fixed asset formation	Starts	Under construction[2]	Starts	Under construction	Total	Clothing	Durables	
	Kr. million in prices of each year's end		Kr. million, current prices						Build. cost Kr. mill. current prices		1000 dwellings		Q2 1955 = 100			Thous.
	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64
1961	1 084	546	5 895	1 774	4 121	1 576	2 545	1 596	6 537	..	..	..	130.3	102.0	176.0	177.5
1962	478	315	6 205	1 867	4 338	1 586	2 752	1 540	8 324	14 338	92.6	..	138.8	108.5	186.0	195.3
1963	122	160	6 483	1 992	4 491	1 657	2 834	1 630	7 793	15 516	86.8	105.5	149.5	114.8	193.5	228.7
1964	1 118	301	6 526	2 172	4 354	1 526	2 828	2 127	9 413	17 187	96.9	115.2	160.5	122.0	208.5	243.7
1965	1 836	1 094	7 554	2 479	5 075	1 758	3 317	2 151	10 599	18 739	93.1	111.4	172.3	130.8	226.3	285.6
1966	1 470[1]	780[1]	8 676[1]	2 820[1]	5 856[1]	2 159[1]	3 697[1]	1 989[1]	11 327	20 002	94.1	116.1	184.0	137.0	233.5	210.2
1967	6	366	8 541	2 666	5 875	2 169	3 706	2 183	14 347	22 197	99.4	115.5	193.5	140.0	255.0	186.5
1968									14 865							
Quarterly																
1965 1	576	555	..	..	..	..	..	..	2 463	18 040	15.1	108.6	147	105	203	70.5
2	492	320	..	..	..	..	..	..	2 321	19 136	23.9	106.3	180	147	233	77.7
3	451	—69	..	..	..	..	..	..	2 063	18 665	20.9	108.3	159	98	182	73.9
4	317	288	..	..	..	..	..	..	3 754	19 478	33.2	111.4	203	173	287	63.5
1966 1	941	1 008	1 700	578	1 122	413	709	349	1 960	20 100	12.6	102.0	155	107	201	52.2
2	250	155	2 115	669	1 446	526	920	574	2 177	20 436	20.1	99.1	185	144	200	51.6
3	—110	—499	2 168	706	1 462	546	916	474	2 577	19 427	22.0	103.5	180	115	215	55.9
4	389	116	2 905	862	2 043	795	1 248	666	4 707	20 290	39.3	116.1	217	182	318	50.5
1967 1	282	535	1 714	609	1 105	439	666	433	2 485	21 245	14.5	105.3	169	112	236	46.0
2	—115	—26	2 050	656	1 394	497	897	522	3 997	22 135	31.7	112.3	194	146	214	49.8
3	29	—370	1 969	611	1 358	470	888	560	3 640	22 044	32.5	124.0	187	113	234	45.6
4	—190	227	2 808	790	2 018	763	1 255	668	4 225	23 365	20.7	115.5	224	189	336	45.1
1968 1	258	511	1 955	598	1 357	591	766	281	2 747	23 134	19.9	111.2	176	116	250	40.3
2	—458	—195	1 979	632	1 347	437	910	407	3 380	23 168	29.7	114.7	199	149	229	55.1
3	—242	—468	1 995	657	1 334	425	909	336	4 415	24 838	31.2	122.3				
4									4 044	26 201	24.5	115.6				

1 Change in sample from 1966. Figures for 1966 according to previous sample: 49: 1 502, 50: 679, 51: 8 760, 52: 2 759, 53: 6 001, 54: 2 187, 55: 3 814, 56: 2409.
2 End of February, May August, November, yearly figures are average of quarterly stocktaking.

Source: Monthly Digest of Statistics and Statistical Reports, Series H.

Table K **Foreign Trade, Total and by Area**

$ million, monthly rates

	Total Imports c.i.f.		Total Exports f.o.b.		Imports by area						Exports by area					
					OECD countries			Non-OECD countries			OECD countries			Non-OECD countries		
	Orig.	Adj.	Orig.	Adj.	Total	EEC	EFTA	Eastern Europe	Other developed countr.	Developing countr.	Total	EEC	EFTA	Eastern Europe	Other developed countr.	Developing countr.
	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80
1961	243	..	228	..	196.8	97.2	64.2	10.7	5.9	29.8	176.3	75.2	81.0	9.6	16.3	25.8
1962	259	..	243	..	210.8	105.6	70.4	11.7	6.6	29.8	186.1	80.1	82.8	12.8	16.9	27.2
1963	282	..	267	..	228.0	109.8	81.0	12.8	6.5	34.2	208.1	85.4	95.5	11.1	18.4	28.6
1964	321	..	306	..	259.9	119.9	96.2	13.3	8.1	38.6	240.5	96.7	112.2	14.0	23.3	26.8
1965	365	..	331	..	295.3	137.0	110.6	15.0	10.7	42.6	263.4	102.9	124.3	12.9	25.1	28.5
1966	381	..	356	..	306.0	137.6	118.9	16.8	13.3	43.9	281.7	107.8	128.7	13.7	27.0	31.7
1967	392	..	377	..	315.5	137.9	126.9	17.0	13.4	44.7	295.1	101.0	145.7	15.8	27.2	35.6
1968																
Quarterly																
1965 1	364	359	314	338	291.9	139.1	108.5	14.6	8.7	47.0	248.7	97.5	121.1	13.9	24.4	26.5
2	358	363	325	317	293.1	136.4	108.1	14.2	10.2	39.3	261.0	98.2	125.2	12.6	25.8	24.5
3	348	376	313	331	282.1	131.8	103.6	14.0	10.7	40.5	248.0	102.0	113.2	11.5	23.8	29.1
4	390	365	378	343	314.6	141.1	122.6	17.2	13.2	43.2	300.7	117.6	138.6	14.0	26.8	33.9
1966 1	394	384	328	348	319.9	142.7	125.4	15.6	10.4	46.4	259.2	101.4	118.1	12.6	24.4	29.9
2	376	383	368	357	300.3	132.5	118.0	16.1	15.4	42.7	294.2	113.9	131.3	14.4	27.2	29.9
3	352	378	332	354	278.1	128.1	105.5	17.2	12.0	43.5	262.8	103.0	120.9	13.2	24.8	30.3
4	403	381	401	369	325.4	147.0	127.5	18.2	16.1	42.5	314.1	113.8	146.5	15.2	31.6	36.3
1967 1	398	392	349	374	321.4	140.1	137.7	17.1	12.7	44.8	275.2	94.4	135.6	13.4	23.6	35.0
2	382	381	412	397	308.4	133.0	125.9	15.3	13.4	42.8	320.6	106.4	161.3	17.2	31.2	37.0
3	378	410	340	364	301.2	136.7	119.9	17.3	12.8	45.3	265.9	97.9	128.9	15.2	23.8	31.1
4	414	392	412	382	333.3	143.4	131.0	18.7	14.4	45.8	320.8	107.2	158.3	18.3	30.2	39.3
1968 1	430	411	388	408	338.2	146.4	134.5	18.3	13.5	58.1	309.1	107.2	150.0	16.7	27.5	33.2
2	400	408	405	394	315.2	137.0	126.7	18.4	17.5	47.4	323.2	108.4	164.3	20.0	26.3	32.6
3	409	440	404	430	323.2	139.1	126.2	19.5	14.8	49.9	316.8	109.2	152.1	17.4	26.6	41.3
4																

Source: OECD, Foreign Trade Statistics, Series A.

Table L Imports : Volume, Prices and Commodity Groups

	Imports c.i.f 1959 = 100			Imports by commodity groups (Kr. million)												
				Total	Food, beverages tobacco	Raw materials	Mineral fuels	Chemicals	Misc. manuf. goods			Non-el. machinery	Elec. machinery	Transport equipment		
									Total	of which: Textiles	of which: Iron and steel			Total	of which: Cars	of which: Ships and boats
	Value	Volume	Prices													
				SITC	0.1	2.4	3	5	6,8,9	65	67	71	72	73	732.1/4	735
	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96
1961	121	118	102	15 151	1 755	1 330	2 050	1 152	4 802	937	984	1 790	1 005	1 269	745	121
1962	129	126	103	16 154	1 931	1 245	2 166	1 240	4 961	1 030	883	1 982	1 060	1 569	823	259
1963	140	134	104	17 552	2 117	1 334	2 372	1 323	5 409	1 159	846	2 058	1 140	1 798	997	314
1964	160	148	108	19 946	2 447	1 476	2 508	1 557	6 298	1 289	1 066	2 343	1 302	2 015	1 163	275
1965	181	166	110	22 644	2 501	1 713	2 477	1 746	7 464	1 368	1 280	2 796	1 530	2 416	1 405	297
1966	189	169	112	23 704	2 825	1 751	2 686	1 885	7 687	1 286	1 229	3 093	1 627	2 150	1 067	389
1967	195	174	112	24 319	2 783	1 554	2 727	2 046	8 129	1 452	1 112	3 180	1 796	2 104	904	370
1968				26 496	2 925	1 670	3 263	2 425	8 799	1 486	1 210	3 360	1 882	2 171	972	333
Quarterly																
1965 1	181	164	110	5 646	595	468	654	425	1 882	372	354	664	358	600	369	32
2	178	159	112	5 541	585	380	542	453	1 824	332	329	708	374	688	399	84
3	173	157	110	5 411	592	408	614	402	1 779	316	286	680	367	566	292	127
4	194	174	111	6 046	732	457	668	465	1 981	349	313	745	426	572	347	69
1966 1	196	174	113	6 100	705	456	673	470	1 962	349	321	746	413	686	322	172
2	187	164	114	5 830	691	390	606	474	1 888	297	322	781	397	606	306	116
3	175	156	112	5 464	622	453	652	425	1 799	286	287	753	367	392	188	58
4	200	177	113	6 282	810	455	753	502	2 024	346	301	811	432	473	250	53
1967 1	197	174	113	6 126	715	389	650	499	2 092	387	301	861	466	480	251	16
2	189	169	112	5 916	683	354	563	521	1 962	355	280	838	445	555	236	93
3	188	166	113	5 864	632	387	773	489	1 908	325	255	714	426	539	188	164
4	206	182	113	6 413	754	424	738	540	2 184	377	278	781	448	549	230	97
1968 1	214	189	113	6 671	745	389	836	574	2 263	395	329	920	463	483	258	15
2	199	176	113	6 204	707	402	685	575	2 016	341	281	837	451	534	223	142
3	203	181	113	6 345	651	413	855	592	2 080	346	283	772	442	541	186	62
4				7 276	822	466	887	684	2 440	404	317	831	526	613	305	114

Source: Monthly Digest of Swedish Statistics.

Table M Exports : Volume, Prices and by Commodity Groups

	Exports f.o.b. 1959 = 100			Exports by commodity groups (Kr. million)												
						Raw materials				Misc. Manuf. goods					Trans. equip	
							of which:				*of which:*					*of which*
	Value	Volume	Prices	Total	Food, beverages tobacco	Total	Wood Pulp	Ores	Chemicals	Total	Paper etc.	Iron and steel	Non-el. machinery	Elec. machinery	Total	Ships and boats
				SITC	0.1	2-4	25	28	5	6, 8, 9	64	67	71	72	73	735
	97	98	99	100	101	102	103	104	105	106	107	108	109	110	111	112
1961	124	119	104	14 198	444	4 377	1 740	1 144	413	4 364	1 457	1 154	2 262	629	1 709	886
1962	132	129	102	15 129	508	4 230	1 683	1 047	459	4 573	1 505	1 126	2 666	738	1 957	1 060
1963	145	140	103	16 568	541	4 594	1 953	1 003	535	5 066	1 695	1 229	2 658	860	2 314	1 310
1964	166	156	106	19 014	530	5 492	2 281	1 250	642	5 876	1 917	1 509	2 983	1 124	2 367	1 184
1965	180	164	110	20 541	596	5 626	2 237	1 269	721	6 417	1 941	1 665	3 230	1 160	2 791	1 480
1966	193	174	111	22 071	636	5 551	2 332	1 181	830	7 216	2 072	1 847	3 875	1 362	2 601	988
1967	205	183	112	23 422	644	5 472	2 268	1 067	887	7 760	2 133	2 104	4 081	1 467	3 111	1 295
1968[1]				25 542	609	5 957	2 243	1 276	1 021	8 563	2 377	2 257	4 453	1 702	3 238	1 234
Quarterly																
1965 1	171	155	110	4 871	155	1 246	531	283	166	1 580	485	413	784	281	664	308
2	176	160	110	5 031	143	1 394	534	321	181	1 600	479	422	808	265	645	320
3	170	153	111	4 847	109	1 498	526	366	174	1 467	460	370	720	295	596	326
4	203	184	110	5 793	190	1 489	641	310	199	1 784	516	464	933	322	889	529
1966 1	178	159	112	5 087	165	1 128	455	263	186	1 674	471	422	948	324	665	240
2	199	179	111	5 795	178	1 436	650	297	217	1 911	565	492	1 010	336	618	210
3	180	162	111	5 155	149	1 542	599	354	196	1 624	485	388	846	308	490	178
4	217	195	111	6 209	144	1 484	633	312	232	2 031	552	549	1 112	400	821	361
1967 1	189	169	112	5 398	137	1 200	548	219	204	1 850	507	496	964	345	712	245
2	223	199	112	6 380	192	1 419	591	269	259	2 085	567	573	1 152	388	896	382
3	185	164	113	5 256	169	1 436	550	301	199	1 717	489	450	873	325	555	236
4	224	199	113	6 388	147	1 418	585	277	228	2 127	571	586	1 123	415	941	435
1968 1	211	187	113	6 022	145	1 394	547	303	235	2 092	575	543	1 081	435	641	148
2	220	197	112	6 282	147	1 453	542	305	251	2 059	559	543	1 082	382	907	414
3[1]	211	187	113	6 272	140	1 513	520	346	264	2 100	613	553	1 068	411	777	313
4[1]				6 966	177	1 597	634	322	270	2 312	630	618	1 222	474	913	359

1 Changes in the statistical reporting system due to reorganisation of customs procedures resulted in exceptional additions to the export figures, Kr.250 million in the third quarter and Kr.100 million in the fourth quarter of 1968. Index numbers in col. 97-99 are adjusted for this change in reporting but not the figures for exports by commodity groups.

Source: Monthly Digest of Swedish Statistics.

Table N Prices and Wages

	Consumer prices, 1949 = 100											Hourly Earnings, Feb. 1947 = 100[3]				
	Total	Food stuffs	Alcoholic beverages, tobacco	Rent	Heating and light	Clothing and footwear	Household equipment	Misc.	Net price index[1] 1959 = 100	Wholesale prices 1949 = 100	Building cost, non-dwellings Jan. 1963 = 100[2]	Total	of which: Mining	Metal products	Pulp and paper	Clothing and textiles
	113	114	115	116	117	118	119	120	121	122	123	124	125	126	127	128
1961	163	180	180	168	153	131	142	158	103,8	151	..	..	..	..	..	..
1962	170	195	187	168	154	135	148	165	107,0	154	..	..	..	..	..	..
1963	175	205	198	167	157	137	149	169	109,8	159	102	..	..	..	..	..
1964	181	213	202	180	158	140	152	174	114,0	166	106	..	..	..	..	..
1965	190	227	210	195	152	145	159	183	118,6	173	112	..	..	..	..	..
1966	202	242	230	211	155	152	164	197	124,6	178	117	..	..	..	..	..
1967	211	250	241	225	153	157	166	210	129,2	178	121	..	..	..	..	..
1968	215	252	253	232	161	157	167	214	129,9	180	125	..	..	..	..	..
Quarterly																
1965 1	185.5	220.4	203.0	188.6	154.7	142.1	154.8	179.2	117.1	172	109	417,1	398.9	407.7	428.6	410.0
2	187.5	223.0	203.1	196.2	152.5	143.3	156.2	180.6	118.7	173	111	428,3	418.1	415.0	446.1	416.4
3	193.2	232.1	218.5	196.9	151.3	146.7	161.6	184.7	118.9	172	114	426,0	408.9	413.5	444.9	417.2
4	194.6	234.3	218.5	197.2	148.8	149.6	162.2	186.4	119.8	174	114	438,5	421.5	425.7	454.5	424.7
1966 1	199.4	236.9	225.9	209.2	156.9	150.2	162.4	193.3	122.7	177	115	442,8	421.3	430.8	457.9	429.7
2	201.8	241.6	230.0	210.3	155.5	151.1	162.8	196.1	124.4	179	117	453,3	434.6	438.4	475.5	434.6
3	203.1	242.7	231.4	212.5	152.8	151.6	163.4	198.6	125.0	177	118	467,0	441.0	451.5	488.4	461.9
4	205.1	245.7	231.6	212.9	155.3	154.9	164.5	200.6	126.4	178	118	478,1	450.9	462.5	497.9	466.8
1967 1	208.6	247.5	235.9	224.3	151.0	155.0	165.4	206.8	128.9	178	119	495,8	473.7	480.0	515.9	485.6
2	210.6	250.4	245.2	223.1	144.3	157.2	166.8	209.6	128.5	178	120	511,4	479.7	490.5	558.0	499.4
3	212.4	251.0	243.4	224.3	160.7	157.6	167.2	211.3	130.0	178	123	504,0	471.6	486.7	524.6	494.8
4	212,5	250.8	243.5	226.4	155.3	158.9	167.0	211.6	129.6	179	123	512,8	482.2	494.8	531.2	500.6
1968 1	214.1	251.1	250.4	231.8	160.2	156.9	166.9	213.1	129.4	180	124	527.0	507.0	507.9	539.1	536.2
2	214.6	250.5	253.6	231.5	161.8	157.7	166.9	213.6	129.6	180	125	540.6	514.3	517.5	558.7	550.2
3	215.7	252.9	253.6	232.3	166.0	156.8	167.4	214.5	130.4	180	126	536.8	504.9	516.0	552.0	549.6
4	216.2	255.2	253.5	234.5	157.9	157.4	167.4	215.3	130.2	181	126	547.2	523.3	524.6	566.5	554.2

1 Consumer prices excluding indirect taxes; February, May, August, November.
2 At beginning of quarter.
3 February, May, August, November.

Source: Central Bureau of Statistics and Monthly Digest of Swedish Statistics.

Table O Money and Credit

	Interest rates						Central Bank		Non-bank liquidity			Commercial bank liquidity				
	Official discount rate	Lending rates: Commercial banks	Lending rates: Savings banks	Deposit rates 6 months' notice	Bond yields[2]: Government 15 years	Bond yields[2]: Industrial bonds	Holdings of: Foreign assets	Holdings of: Domestic securities	Money supply: Orig.	Money supply: Adj.	Savings deposits	Liquid assets total: Orig.	Liquid assets total: Adj.	Cash and sight deposits	Domestic securities[3]	Foreign assets[3] net
	Per cent						Kr. million, end of period									
	129	130	131	132	133	134	135	136	137	138	139	140	141	142	143	144
1961	5.00	6.75	6.25	4.75	5.34	5.89	2 385	5 702	10 720	..	16 550	6 724	..	472	5 673	666
1962	4.00	5.75	5.25	3.75	4.99	5.66	2 934	4 683	11 730	..	18 500	8 385	..	515	7 277	642
1963	4.00	5.75	5.25	3.75	4.93	5.59	2 679	5 037	12 830	..	20 110	7 415	..	554	6 480	751
1964	5.00	7.00	6.50	4.75	5.64	6.15	3 498	4 707	13 910	..	21 950	8 343	..	482	7 111	644
1965	5.50	7.50	7.00	5.25	6.18	6.66	3 160	5 121	14 620	..	22 890	7 707	..	523	6 716	685
1966	6.00	8.00	7.50	5.75	6.57	7.38	3 331	6 064	15 840	..	24 530	8 684	..	485	7 928	847
1967	6.00	9.25[1]	7.50	5.75	6.06	6.65	2 462	6 341	17 140	..	28 200	11 306	..	538	10 241	1 705
1968	5.00	8.25	6.50	4.75	6.19	6.73	2 123	7 530				12 405		625	11 150	1 586
Quarterly																
1965 1	5.00	7.00	6.50	4.75	5.87	6.33	3 987	3 208	12 180	12 710	23 270	7 028	7 366	368	6 816	285
2	5.50	7.50	7.00	5.25	6.27	6.80	3 654	3 002	13 590	12 970	21 630	5 923	6 718	508	6 421	424
3	5.50	7.50	7.00	5.25	6.27	6.74	3 493	2 692	12 540	13 010	22 550	6 537	7 004	354	6 845	496
4	5.50	7.50	7.00	5.25	6.38	6.82	3 160	5 121	14 620	13 080	22 890	7 707	6 893	523	6 716	685
1966 1	5.50	7.50	7.00	5.25	6.55	6.93	3 213	3 380	12 710	13 240	24 510	6 325	6 736	347	6 429	612
2	6.00	8.00	7.50	5.75	6.80	7.69	3 410	4 188	14 180	13 540	23 700	6 390	7 239	443	5 914	475
3	6.00	8.00	7.50	5.75	6.52	7.72	3 463	3 413	13 060	13 830	24 530	6 867	7 287	342	6 974	679
4	6.00	8.00	7.50	5.75	6.35	7.67	3 331	6 064	15 840	14 170	24 530	8 684	7 832	485	7 928	847
1967 1	5.00	8.25[1]	6.50	4.75	5.89	6.22	3 140	4 310	13 840	14 430	26 820	8 348	8 794	322	8 708	980
2	5.00	8.25	6.50	4.75	5.90	6.47	3 328	5 355	14 820	14 640	26 470	9 002	9 876	359	8 147	1 285
3	5.00	8.25	6.50	4.75	5.95	6.53	3 314	4 891	14 490	15 030	27 720	9 985	10 383	329	8 846	1 437
4	6.00	9.25	7.50	5.75	6.80	7.49	2 462	6 341	17 140	15 320	28 200	11 306	10 435	538	10 241	1 705
1968 1	5.50	8.75	7.00	5.25	6.29	7.03	2 834	4 331	15 630	16 020	30 600	11 161	11 634	348	11 178	1 319
2	5.50	8.75	7.00	5.25	6.29	7.04	2 653	5 889	16 560	15 770	30 520	10 910	11 804	360	10 678	1 165
3	5.50	8.75	7.00	5.25	6.33	7.06	2 674	5 641	16 150	16 820	32 430	11 726	12 107	403	11 064	1 335
4	5.00	8.25	6.50	4.75	6.19	6.73	2 123	7 530				12 405	11 519	625	11 150	1 586

1 Break in series.
2 Yearly figures are averages of mid-month figures.
3 Of which also some assets not included in liquid assets as defined in column 140.

Sources : Monthly Digest of Swedish Statistics, International Financial Statistics and the Swedish Economy.

Table O **Money and Credit** *(continued)*

Kr. million

	Structure of Bank Deposits				Bank lendings					Bond market			Share issues (excl. bonus issues)	Invest. Fund Deposits		
	Commercial banks	Larger Savings Banks	Post Office Savings Bank	Rural Credit Societies	Commercial banks: Amounts granted	Commercial banks: Amounts drawn	Larger Savings Banks	Post Office Savings Bank	Rural Credit Societies	Issues	Redeemed	Outstanding		Deposits	Drawings	Outstanding
	End of period									During period		End of period	During period			End of period
	145	146	147	148	149	150	151	152	153	154	155	156	157	158	159	160
1961	19 415	12 066	2 850	1 376	16 973	14 541	10 906	4 728	1 224	2 404	1 456	27 777	853	425	338	1 230
1962	22 080	12 638	2 759	1 575	18 944	16 196	11 708	5 105	1 401	4 881	1 380	31 278	801	122	455	897
1963	24 410	13 531	2 839	1 797	22 459	19 348	12 668	5 719	1 639	5 805	1 741	35 342	546	209	241	866
1964	26 649	14 544	3 035	2 162	24 938	21 334	13 530	6 330	1 934	5 446	1 957	38 831	509	238	136	968
1965	27 731	15 776	3 400	2 551	28 348	24 008	14 719	6 958	2 317	4 645	1 593	41 883	865	318	147	1 139
1966	30 303	17 764	3 618	2 921	30 719	25 835	16 246	7 736	2 661	6 607	1 638	46 874	857	304	167	1 276
1967	35 017	19 976	4 087	3 350	34 849	29 019	18 057	8 307	2 963	8 438	2 086	54 225	1 335	289	576	989
1968	41 235	22 136	4 405	3 733	40 764	34 000	20 639	8 733	3 366	11 242	2 381	63 085	..	424	530	882
Quarterly																
1965 1	26 859	15 566	2 673	2 265	25 564	22 326	13 878	6 476	2 044	1 462	554	39 739	116	153	36	1 088
2	26 425	15 356	3 820	2 320	26 801	23 318	14 129	6 875	2 130	873	575	40 037	111	118	63	1 142
3	26 350	15 594	2 785	2 403	26 968	23 460	14 332	6 797	2 226	1 306	56	41 287	212	0	18	1 125
4	27 731	15 776	3 400	2 551	28 348	24 008	14 719	6 958	2 317	1 004	408	41 883	426	44	30	1 139
1966 1	28 205	16 929	2 949	2 629	29 196	25 441	15 102	7 185	2 424	605	95	42 393	199	180	52	1 267
2	28 409	16 964	3 726	2 694	30 001	26 029	15 376	7 440	2 479	617	1 333	41 677	195	97	44	1 320
3	28 217	17 486	3 395	2 772	30 259	26 243	15 743	7 387	2 584	2 929	71	44 536	183	2	28	1 294
4	30 303	17 764	3 618	2 921	30 719	25 835	16 246	7 736	2 661	2 456	139	46 874	279	25	43	1 276
1967 1	31 083	19 057	3 515	2 981	30 810	26 332	16 556	7 760	2 772	2 700	515	49 059	250	144	23	1 398
2	31 436	19 200	4 024	3 014	32 253	27 198	16 884	8 054	2 807	1 834	909	49 983	173	81	113	1 366
3	32 714	19 661	3 531	3 132	33 527	38 366	17 436	8 055	2 893	2 421	463	51 941	173	19	283	1 101
4	35 017	19 976	4 087	3 350	34 849	29 019	18 057	8 307	2 963	2 483	199	54 225	742	45	157	989
1968 1	36 196	21 527	3 661	3 448	30 810	26 332	18 835	8 230	3 089	3 503	472	57 256	148	192	130	1 051
2	36 936	21 607	4 201	3 499	32 253	27 198	19 335	8 473	3 176	2 418	1 558	58 115	226	168	159	1 060
3	38 741	22 020	3 807	3 578	33 527	28 366	19 932	8 465	3 267	2 312	160	60 267	124	9	134	934
4	41 235	22 136	4 405	3 733	40 764	34 000	20 639	8 733	3 366	3 009	191	63 085	247	55	107	882

Source : Monthly Digest of Swedish Statistics, Monthly Banking Statistics and Press Reports from Central Bank.

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